



Spring 2026 Technology Outlook

Agentic AI

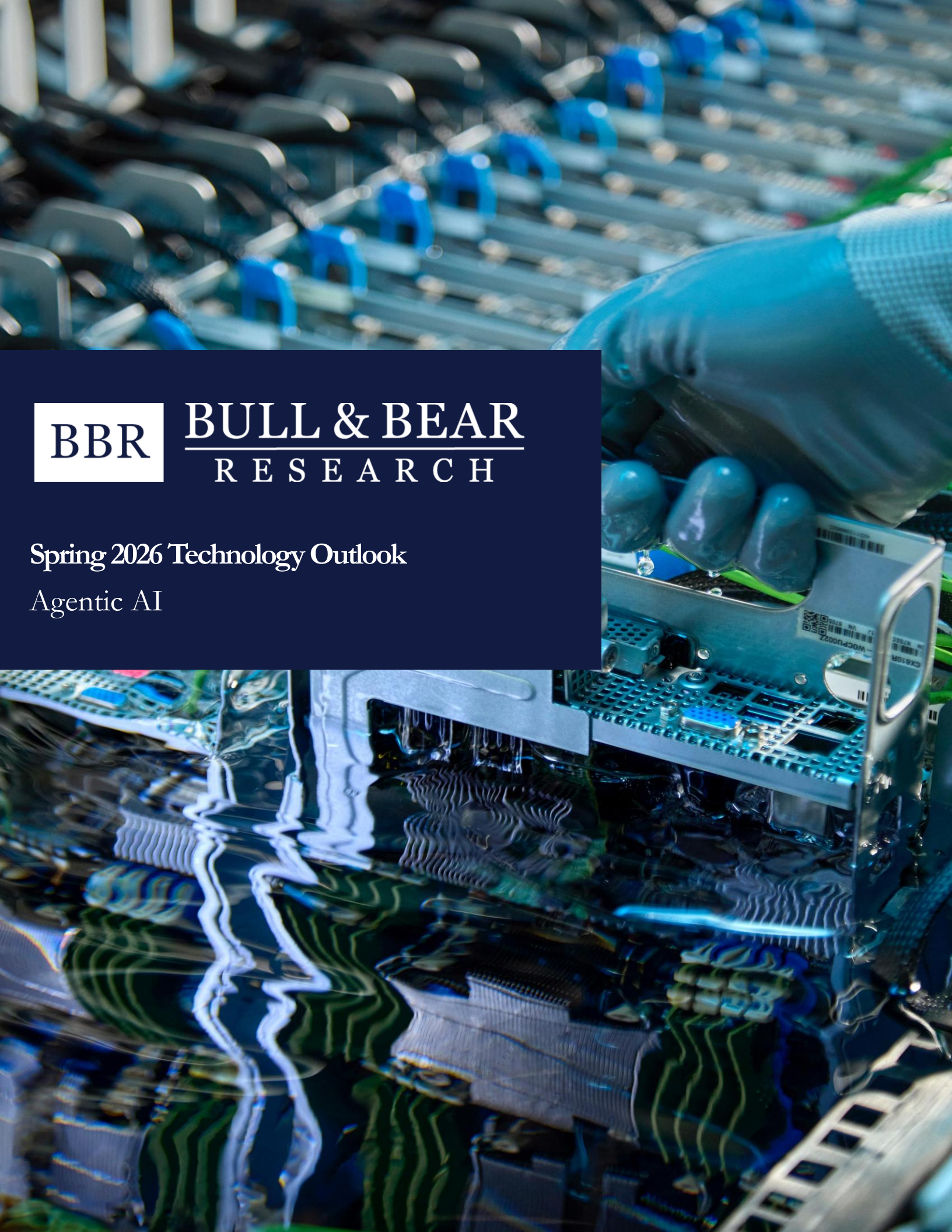


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INTRODUCTION

Current Technology Landscape

The overarching theme of 2026 is a moment of truth for new technology, more specifically, Artificial Intelligence. The focus has pivoted from conversational chatbots to AI as a means to transforming defense, cybersecurity, financial services, and everyday operations across all industries. AI systems are no longer passive tools but active co-pilots capable of executing multi-step workflows, managing complex data, and revolutionizing modern weapons and defense strategies. In the business environment, AI is becoming embedded into core decision-making processes, accelerating everything from risk analysis, fraud detection, supply-chain optimization, and customer engagement. In 2026, the focus is no longer on whether AI works, but on how effectively, and at scale, can it be integrated into the systems that impact everyday society. Additionally, it is a defining year for equities and company valuations, as markets reassess growth, risk, and the long-term impact of AI-driven transformation.

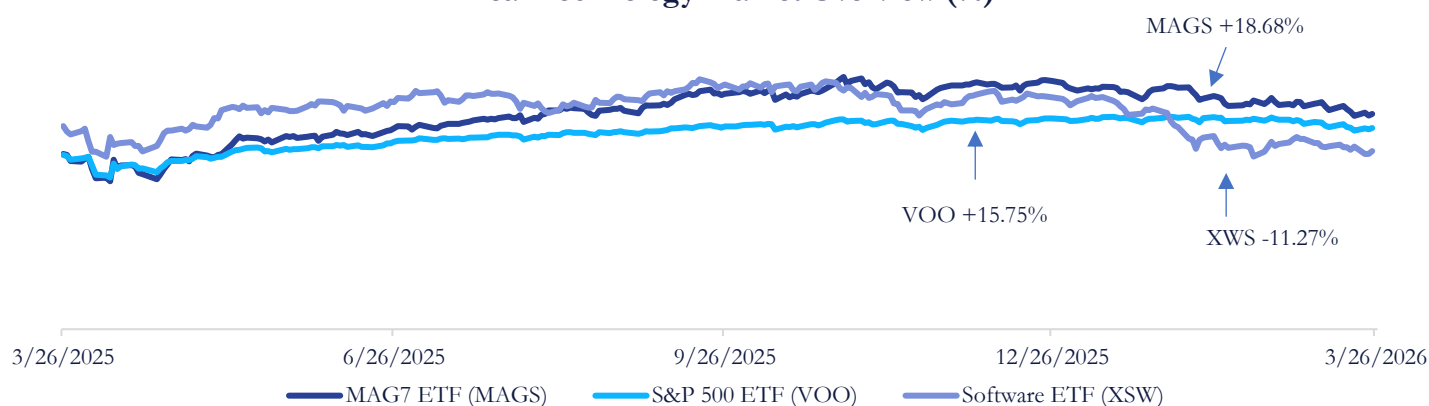
Valuations at an All Time High

The technology market in 2026 is trading at near all-time highs, with P/E ratios built on a winner-takes-all dynamic that prioritizes long-term scale over immediate yield. These elevated valuations are largely sustained by three major tailwinds that have propped up balance sheets across the sector. First, the One Big Beautiful Bill Act, which has permanently restored 100% bonus depreciation, allowing firms to deduct the full cost of massive AI hardware investments, immediately masking high capital intensity with significant tax savings. Secondly, the market is pricing in a period of interest rate stability as the Fed is expected to remain conservative in rate changes prior to Fed Chair Powell's term end in May. This is providing a predictable cost-of-capital environment that encourages long-term planning amongst big players in the "Magnificent 7". Lastly, the technology market is beginning to see real results in revenue growth. For instance, Meta is experiencing 10% YOY ad pricing growth fueled by AI optimization, while Microsoft is close behind, embedding AI into workflows used by over 90% of the Fortune 500 companies.

Capex Trends

The technology landscape has been defined by an arms race where aggregate capital expenditure for the five largest companies is projected to exceed \$600 billion in 2026. This 36% YOY increase creates a competitive market for scarce energy resources. The race to build AI data centers to power this wave of investment has been a struggle but continues to make forward progress. Capital deployment is increasingly constrained by the preexisting infrastructure as grid bottlenecks in Virginia and Silicon Valley intensify. However, the risk of falling behind in AI capacity is now viewed as far more catastrophic than the risk of overspending. As 2026 unfolds, the market's focus is shifting from the size of budgets to utilization rates, as investors are demanding proof that this over half-trillion-dollar bet can translate into sustainable earnings before the depreciation of these assets begins to erode margins.

1 Year Technology Market Overview (%)

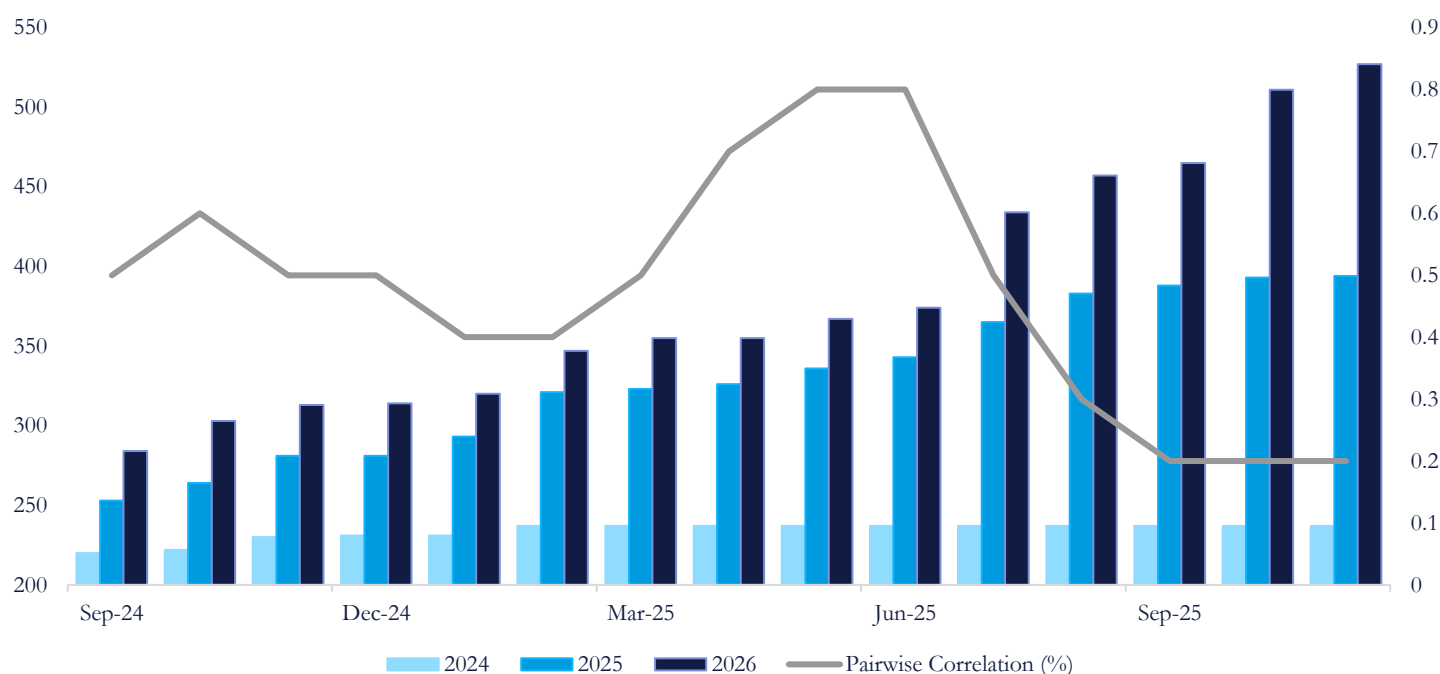


AI RACE

The Race to Build

The global arms race to finance and develop advanced AI has accelerated dramatically since the start of the decade. In 2025 alone, multinational corporations deployed \$1.5 trillion towards AI initiatives, with spending expected to more than double by 2029. The race to build AI is increasingly characterized by a divide between infrastructure hyperscalers and model developers. Hyperscalers such as Alphabet, Amazon, Meta and Microsoft dominate the compute power, cloud distribution, and data center markets, with capital expenditures projections revised to exceed \$500 billion in 2026. The funding backing AI buildouts at these companies has shifted from cash to debt, as they now finance the largest capital expansion in modern history. A major turning point was Meta's \$27 billion joint-venture agreement with Blue Owl Capital for the massive Hyperion data center, marking the largest private-capital transaction to date. In contrast, renowned model developers, including OpenAI, Anthropic, and Google's Gemini, focus on algorithmic advantage, training efficiency, and user base retention. OpenAI has committed to \$1.4 trillion in spending by 2030, underscoring the scale and depth of expenditures required to secure market share in an increasingly competitive global market. This dynamic reflects a belief that, in the long run, the lack of urgency and underinvestment poses greater risks than downsides associated with overspending.

HyperScaler CapEx Projection (\$B) vs Pairwise Correlation



The Race to Monetize

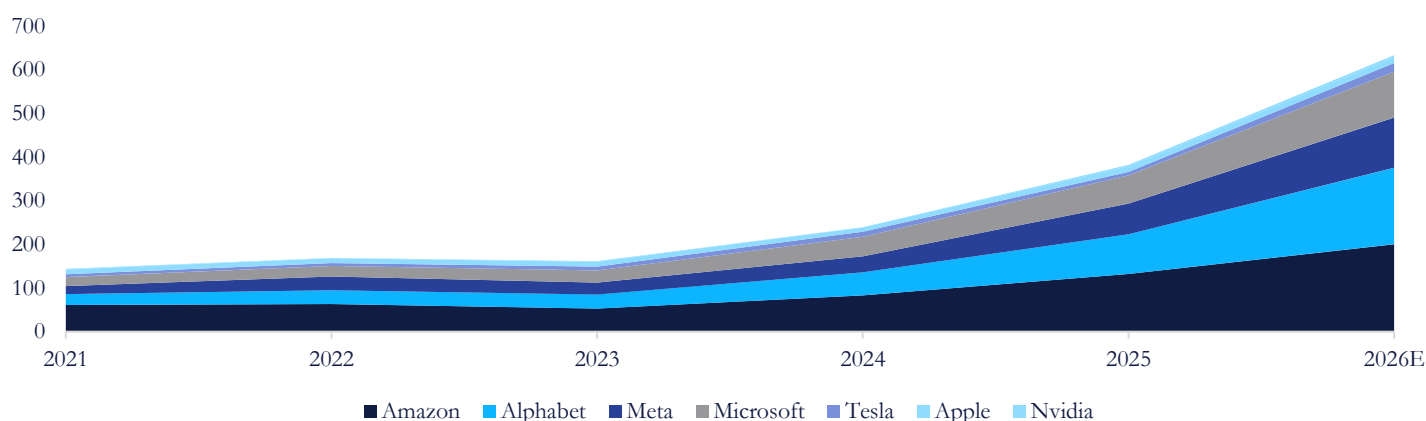
While capital deployment toward AI infrastructure remains aggressive, the primary focus is now on monetization and the creation of profitable solutions. Although AI products have been monetized for years, the next phase is where and how monetization is embedded within the user experience. This became clear in January 2026, when OpenAI confirmed that it would begin implementing advertisements across its products throughout the year, a move that was widely criticized by the public and effectively leveraged by competitor Anthropic to promote its ad-free alternative. More concerning, this raises the possibility of monetization embedded directly in LLM responses. Rather than appearing as clearly labelled advertisements, many experts believe these models will prioritize and deliver answers that reflect the agendas and influence of external parties, similar to search engine queries. While the ethicality and legality of such actions are unclear, it's important to note that implementing intentional third-party monetization would erode any assumption of neutrality in LLMs, undermining trust among their user bases.

MONETARY & FISCAL POLICY

Fed Rates and Capital Allocation

As of February 2026, the Federal Reserve has maintained a federal funds target range rate of 3.50% to 3.75% after three cuts in 2025. This decision by the central bank spotlights the cautious approach to balancing growth with the control of inflation. The Taiwan Semiconductor Manufacturing Company (TSMC) recorded a record-breaking Capex. of \$45 billion to enhance semiconductor technologies but also to enhance the growing demand for high-performance microchips. Belgian firm, IMEC (Interuniversity Microelectronics Centre), launched a €2.5 billion microchip facility to boost AI and advanced computing capabilities under the EU Chips Act. The facility is developing sub-2nm microchips that aim to improve the performance and energy efficiency and set the backbone for 6G wireless technology. This project is set to strengthen the overall position of Europe in the global industry for semiconductors. Congress has shown drastic amounts of effort to ensure U.S. leadership in the Artificial Intelligence front; there has been fiscal support and incentives to adopt an investor-friendly environment for long-term investments in cutting-edge technologies. With changing economic conditions capital allocation strategies are drastically evolving, Blackrock the world's largest asset management firm in terms of AUM, has shifted its focus to private credit and allocating a large amount of capital in 2025 to support Artificial Intelligence technologies. The "Magnificent Seven" in 2026 are projected to deploy roughly \$630 billion on capital expenditures which is a significant increase from the \$400 billion in 2025. This large drive is happening due to the "arms race" to build AI infrastructure like, data centers or custom silicon (CPUs/GPUs) parts.

"Magnificent 7" Capital Expenditures (\$B)



Where We Are Headed Now?

The United States' economy is showing various signs of resilience even through high interest rates and uncertainty regarding trade policy. The CPI (Consumer Price Index) year-over-year increased by 2.4% in early 2026, which was down from the 2.7% recorded in December of 2025, showing the lowest rate since May. This positive change in inflation spotlights the idea that price pressures are easing slowly even through economic uncertainty. The labor market shows a positive outlook, with the U.S. adding 130,000 jobs in January 2026, which surpassed expectations and helped decrease the unemployment rate to 4.3%. Regarding the fiscal sector, the U.S. budget deficit, as projected by the Congressional Budget Office, is expected to reach \$1.85 trillion by the end of 2026 and is driven primarily by a spike in interest payments and demographic factors. The investor sentiment remains positive, as reflected by a PwC survey highlighting that 61% of investors are making it a point that the technology sector will bring in the most investments over the next three years. Even though the CPI rose year-over-year this past January, some sectors like the semiconductor industry are facing high input costs due to high demand for chips. SMIC (Semiconductor Manufacturing Intl. Corporation) for example, had to expand the capacity of wafer production to meet demand from AI applications. Supply chains stabilized in comparison to the issues faced during the pandemic however due to economic uncertainty raw materials is still facing constraints.

MACROECONOMICS

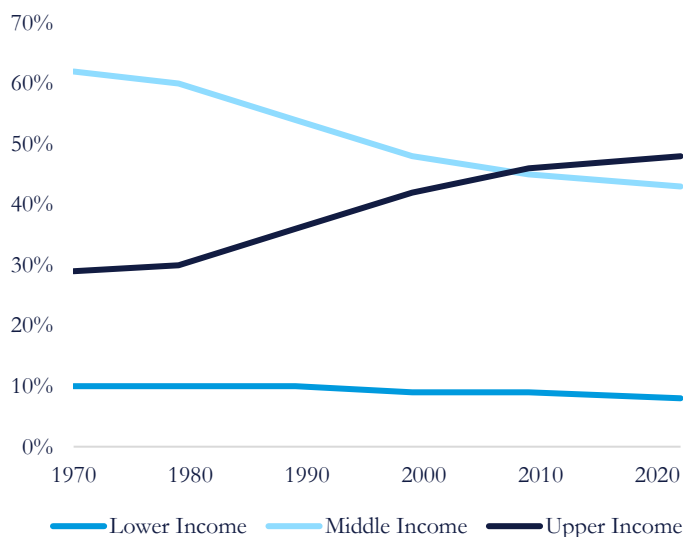
Gross Domestic Production and Capital Allocation

The United States economic growth has remained resilient, with the GDP totaling \$31 trillion, expanding by 2.2% in 2025, reflecting continued strength in consumer spending and private investment. Despite elevated interest rates and tighter financing conditions, steady GDP growth has supported corporate earnings and investment activity, though higher borrowing costs have made capital allocation more disciplined. This dynamic is particularly relevant for artificial intelligence, which requires significant upfront investment in data centers, chips, and cloud infrastructure. Despite higher financing costs, investment in Artificial Intelligence continues to accelerate driven by efficiency gains and organizations seeking competitive advantages. U.S. private AI investment reached \$109.1 billion in 2024, which was significantly higher than China's \$9.3 billion and the United Kingdom's \$4.5 billion, while AI investments from corporate companies also remained strong at \$252.3 billion.

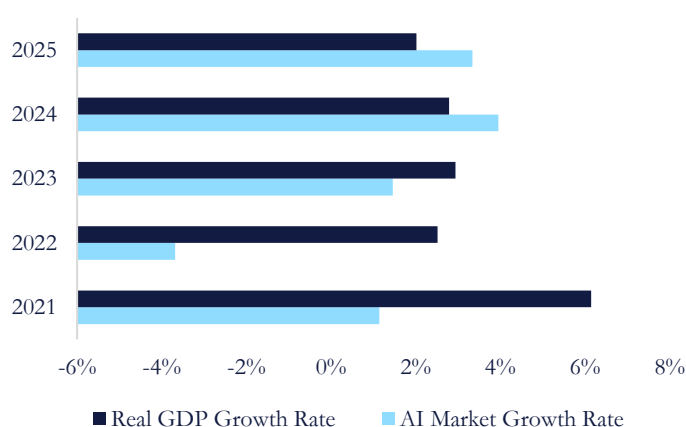
Consumer Health Index

Income concentration now exceeds its pre-pandemic peak and has reached levels not seen in more than 60 years. While aggregate consumer spending increased 2.2% year-over-year on a three-month average basis, spending by lower-income households has fallen below pre-pandemic levels. As a result, the top third of earners now account for 55% of total card spending. This dynamic reflects a K-shaped economic recovery following the COVID-19 pandemic, characterized by a widening divergence between income groups: higher-income households have benefited from rising wealth and maintain strong spending power, while lower- and middle-income households face growing financial strain as purchasing power erodes. At the same time, generative AI is emerging as a distinct consumer spending category, with household expenditures in the segment growing approximately 150% in January.

U.S. Income Distribution by Class



AI Market Growth vs. Real GDP



Federal Reserve Leadership Outlook

A new Federal Reserve chair is expected to take office in spring 2026, with President Donald Trump nominating Kevin Warsh to succeed Jerome Powell, who has led the Fed since 2018. The nomination has raised concerns among economists that interest rate decisions could become more politically influenced. Warsh is generally viewed as a strong candidate, having served as a Fed governor during the 2008 financial crisis, though he previously held a hawkish stance on rate cuts. More recently, however, he has advocated for lower interest rates, aligning with President Trump's push to ease borrowing costs. Since January 28, the Fed has held rates steady after three consecutive cuts, with Powell citing strong economic growth and a stabilizing labor market. Beyond rate policy, Powell has been supportive of AI, arguing that highly valued AI companies generate real earnings, unlike many firms during the dot-com bubble. Both Powell and Warsh view AI as a major driver of productivity and economic growth, with Warsh noting its potential to create disinflationary pressure.

AI MACROECONOMIC IMPACT

Artificial intelligence being considered a macroeconomic event is a growing topic. AI technologies are being recognized for their potential to transform the economy. Estimates of the effects of AI on U.S. gross domestic production in both the short and long run vary but are generally positive. Similarly, economists generally agree AI will have a positive impact on labor productivity with sentiments around AI and the labor market being more varied. Overall, today much of GDP growth is driven by AI and the Technology sector as a whole.

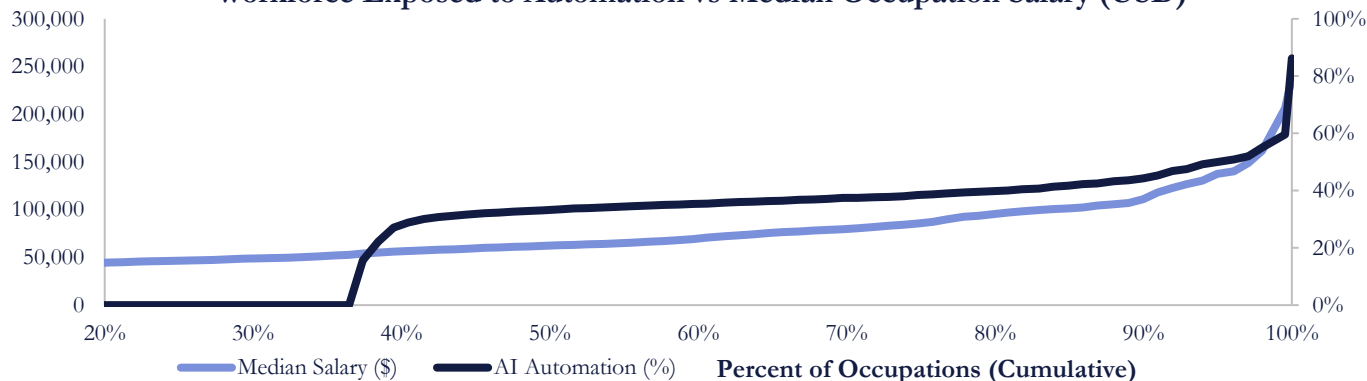
Is the Technology Economy Healthy?

Technology was among the top-performing sectors in 2025, with only industrial and metals mining rivaling it. Analyst-constructed baskets of AI-related equities at Morningstar, JPMorgan, and Goldman Sachs rose by an average of 50.8% in 2025, outperforming the U.S. market (17.3%) and the broader technology sector (21.4%). At the same time, pairwise correlation across the largest AI hyperscale's has declined from 80% to 20%, reflecting greater earnings dispersion and increasing investor differentiation based on revenue execution rather than thematic momentum. Beyond market performance, AI investment has become a growth engine at the macroeconomic level. Investment in information-processing equipment & software accounted for only about 4% of GDP in H1 2025 for the U.S. but was responsible for 92% of GDP growth in the same period. Excluding these categories, economic growth was essentially flat at an annual rate of just 0.1% in H1. Capital expenditures related to AI also contributed 1.1 percentage points to GDP growth, outpacing U.S. consumer spending as an engine of expansion. While continued high growth in the technology economy is likely, it requires a broader acceptance by both the general population, and more importantly, lawmakers. This has proved difficult, as more than 100 bills were signed into law at the state level in the U.S. alone in 2025, with a similar level of regulatory action against AI expected in 2026. As concerns about the safeguarding of information used by AI continue to grow, federal oversight is likely to intensify, even as the largest technology companies attempt to prevent such regulations from being imposed.

Labor Market Shifts

Historically, when new technology is developed and implemented, labor demand declines significantly; Artificial Intelligence is no exception. Research by Goldman Sachs implies that innovations related to AI could displace 6-7% of the U.S. workforce if widely adopted, with global estimates even worse, citing 300 million jobs at risk of automation. While this is cause for concern, it is important to note that this displacement is usually during the initial adoption phases, as job displacements tend to disappear after two years. As AI becomes further integrated into business processes, it becomes a complement to employees rather than a strict replacement, increasing productivity and possibly driving labor demand higher. The new job opportunities created put people to work in other capacities and will likely reduce the net impact on the labor market. Since the labor market is influenced by numerous factors, it is difficult to pinpoint the exact job losses attributable to AI adoption to date. However, executives in the technology, finance, and healthcare sectors report AI-driven efficiency gains sufficient to slow hiring and expect AI automation to impact employee level compensation as capabilities continue to be integrated.

Workforce Exposed to Automation vs Median Occupation Salary (USD)



MARKET SIZE AND GROWTH

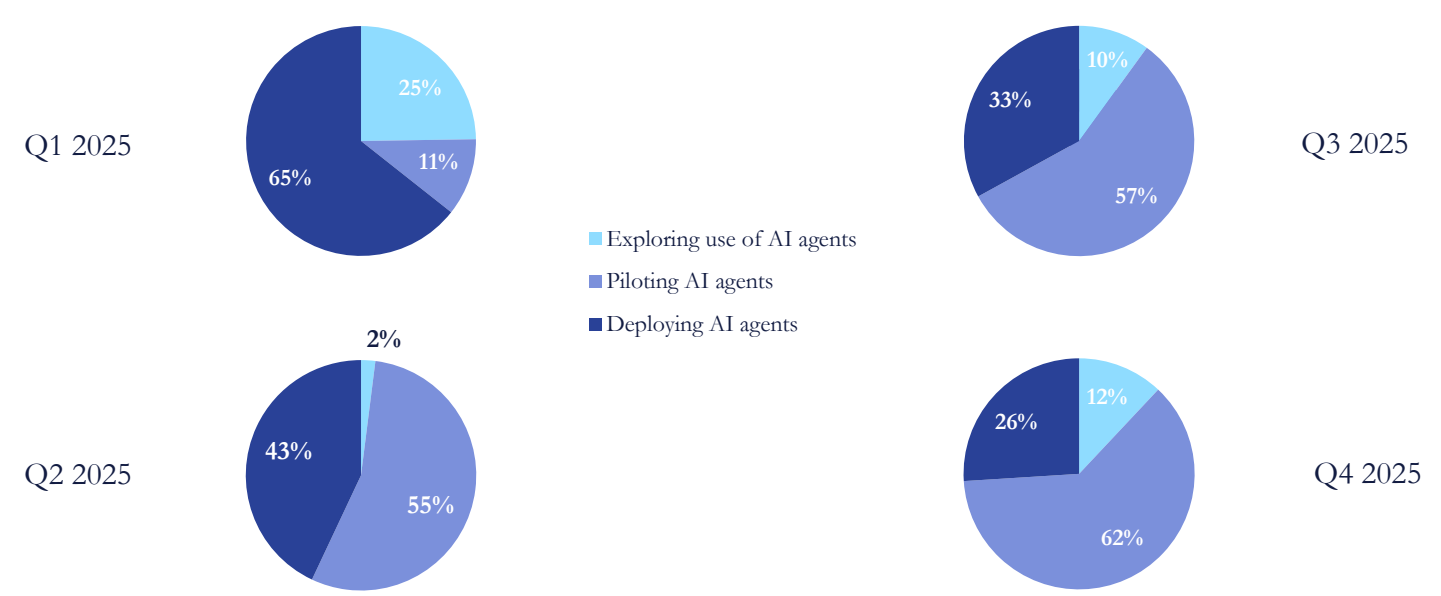
Strong Market Expansion

Agentic AI represents an evolutionary shift as it extends generative AI from reactive generation to autonomous, dynamic, goal-driven execution. This major shift in capabilities has contributed to the explosive growth and expansion of the market. In 2025, the global market value of agentic AI stood at \$7.55 billion and is projected to surpass \$199 billion by 2034, representing a CAGR just shy of 44% over 9 years. North America currently holds the most dominant market position, capturing a 46% share in 2024, while the APAC region is expected to grow the fastest between 2025 and 2034. By application domain, cognitive agents such as virtual assistants and co-pilots held the largest market share of 34% in 2024. While this is true, research states that the autonomous systems segment is likely to experience the fastest growth during the forecasted period, due to the value it adds to large enterprises. It is important to note that these projections incorporate many assumptions, including the successful deployment and integration of agents. A study by Gartner predicts that 40% of agentic AI projects will be cancelled by 2028 due to rising costs, unclear bottom-line value, or inadequate risk frameworks. The continued exploration of possibilities, piloting, and deployment of AI agents will heavily rely on their perceived future value.

Technology as a Growth Driver

Technology has been a major growth driver for the agentic AI market. On the machine learning and model side, continuous advancements in reinforcement learning, transformer models, and neural networks have contributed significantly to the improved accuracy, efficiency, and performance of agentic AI, subsequently enabling rapid yet organic growth. The increase in availability of powerful GPUs and specialized chips is enabling even further scaling, reduced costs, and decreased time-to-deployment for new agents. The cloud-based agentic AI segment accounted for 62% of market share in 2024, with that share expected to increase in the coming years. With the growth of cloud infrastructure and edge computing from hyperscalers like AWS, it has become easier for companies to deploy AI agents without committing significant capital and time to the physical infrastructure buildout needed if they hosted the agents locally. The barriers to entry for agentic AI use in businesses have begun to disappear as costs for training and cloud resources decrease. These changes have allowed mom-and-pop shops and small businesses to explore the deployment and integration of agentic AI that would otherwise be inaccessible due to capital requirements. Overall, as technology continues to evolve, AI agents will become even more capable, scalable, and cost-effective promoting further adoption of agentic AI across industries.

Organizational Shift from Rapid Agent Growth to Controlled Scaling



REGULATORY LANDSCAPE

Federal Policy Shift

The regulatory environment for AI, especially agentic AI, is highly unstable. The current administration revoked the 2023 Executive Order on Safe, Secure, and Trustworthy AI and replaced it with the Removing Barriers to American Leadership in AI Act. While the first order prioritizes safety testing and responsible governance standards, the later emphasizes economic competitiveness and national security. As a result, federal agencies have rushed to review, and appropriately suspend, AI safety rules that are inconsistent with this new directive. This marks a shift from a precautionary regulation environment towards a pro-growth, innovation-first AI policy environment. This shift is especially significant for agentic AI systems which are designed to act fully autonomously (rather than generating mere recommendations). By deprioritizing formalized safety guardrails, the government creates a regulatory lag between technological capability and enforceable governance mechanisms.

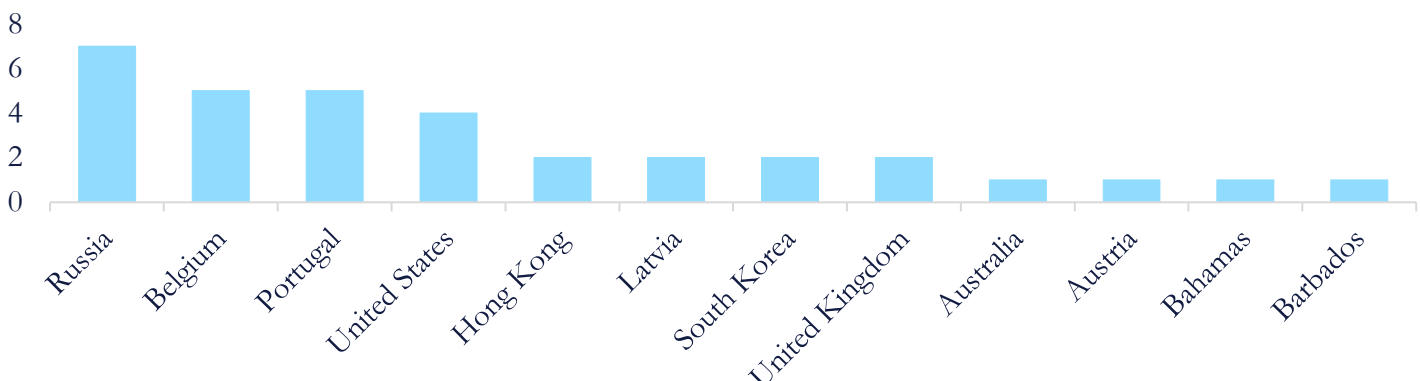
AI Agency Liability

Even as federal executive regulation loosens, legal exposure is increasing through litigation. In July 2024, a federal district court in California ruled that an AI vendor can be held legally responsible when its algorithms preform any sort of action a human would normally do. The court suggested that if an employer, in this case Workday, delegates hiring decisions to an AI system and subsequently relies on those decisions, the AI vendor could be treated as an agent of the employer. This was a groundbreaking turning point because agency law had historically only applied to humans. This distinction becomes increasingly important when we consider its implications on Agentic AI which acts autonomously and makes multi-step decisions. Companies deploying agentic AI could potentially face liability for discrimination, consumer hard, and regulatory violations. This blurs the traditional boundary between the tool and the decision-maker. In the aforementioned case, there was no new AI statute used. This means regulation is emerging through litigation, not legislation. As autonomy increases, so does the likelihood that courts will treat Agentic systems as functional equivalents of humans for liability purposes.

Patchwork Regulatory Environment

Businesses are operating in an extremely fragmented compliance landscape. State private laws, environmental regulations, and international frameworks are all contributing to this patched industry. Compliance is hyperlocal and detail driven, with jurisdiction-specific employment laws and subcontractor documentation required on a case-by-case basis. If regulatory databases are outdated or if jurisdictional nuances are missing, agentic AI systems may become an operational liability. Since the systems act without any real-time human validation, this poor data moves from a technical failure to one that causes reputational damage and severe privacy law violations. Furthermore, with the increasing prevalence of Agentic AI in due diligence processes, if it were to overlook an issue, the acquiring company may inherit significant hidden liabilities. This makes human oversight and structured governance especially important safeguards rather than leaving them as optional mechanisms.

AI-Related Bills Passed into Law Worldwide 2024



AI INFRASTRUCTURE

The Compute Backbone of the AI Economy

AI Infrastructure is the backbone of the AI stack. With many focused-on models like ChatGPT and other generative systems, those can only function because of the underlying hardware and cloud systems. The space relies on three key components: the physical chips (usually GPUs), the software that allows those chips to be utilized, and the cloud providers that package the former into scalable platforms. If one of these layers stalls, the entire system slows. Large language models rely on billions, if not trillions, of parameters running simultaneously. That said, AI infrastructure isn't simply an independent vertical.. With forecasts showing data centers as one of the fastest growing categories, it's imperative to recognize these obstacles and push for efficiency.

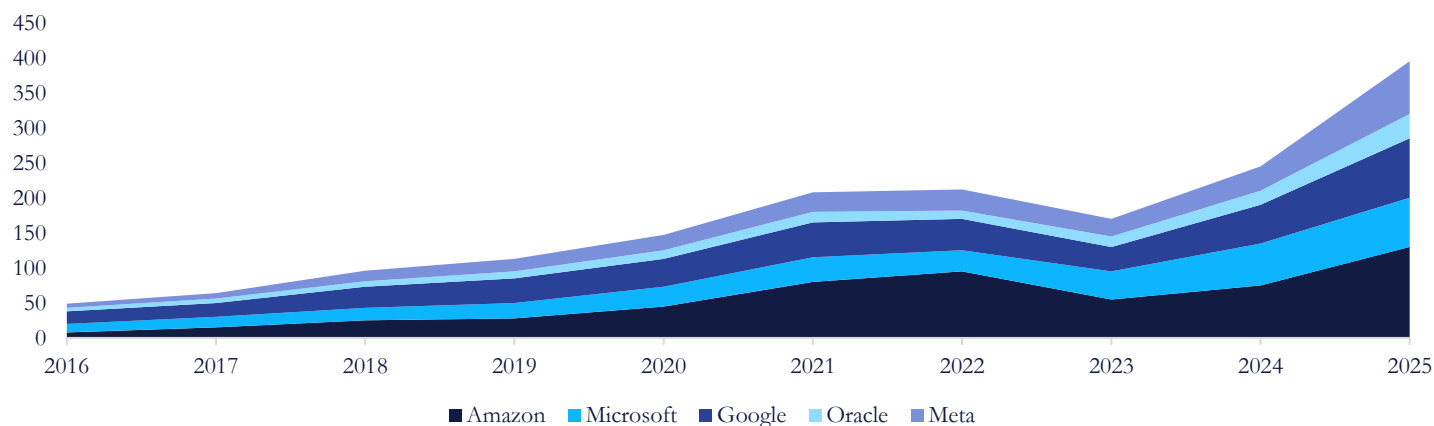
The Rise

AI models are, fundamentally, more compute-intensive than traditional software. As model size increases, resource requirements grow in parallel. Data centers are being redesigned for higher density (moving from historical 5-15 kW per rack to 50-100 kW) and faster liquid cooling (direct-to-chip and liquid cooling architectures); these innovations are necessary infrastructure that support AI-scale computations. Similarly, network demands are increasing while capex cycles decrease. As AI moves from its earlier stages into production across enterprises, demand shifts from one-time needs to continuous ones. Four major hyperscalers – Alphabet, Amazon, Meta, and Microsoft – are projected to spend \$625 billion on AI infrastructure in 2026. Moving from experimental deployments into top-down production, demand will shift from sporadic training runs to continuous inference workloads. This creates a steady-state demand changing how revenue models and strategies are created.

Bottlenecks

There are a few important bottlenecks to consider when thinking about the AI infrastructure space. AI itself is growing at such an exponential rate that data centers cannot keep up. Scaling AI workloads requires cutting edge GPUs and advanced packaging capacity. Even more, it's predicted that AI will need 100 gigawatts of additional power by 2030, requiring companies to secure power even faster. Some companies are entering into decade long PPAs while others are investing in renewable projects and other natural gas generation sources. This shifts AI infrastructure into the realm of energy stability. In this sense, to succeed in the AI infrastructure space would be to utilize speed; it's a power-market arbitrage argument. Firms that can secure power capacity early can deploy AI clusters faster and monetize workloads sooner. Unfortunately, grid expansion timelines often exceed five years, creating a mismatch between chain AI demand and infrastructure readiness. The race shifts beyond technology into regulatory and supply chain coordination. As a result, AI infrastructure requires companies to align compute, energy, and regulatory systems. The competitive frontier is shifting from pure algorithmic innovation to global-scale industrialization. Here, alongside the ability to work efficiently, is where structural advantages can arise.

Tech Investment YoY (\$M)



PERFORMANCE ANALYSIS

Over/Underperforms

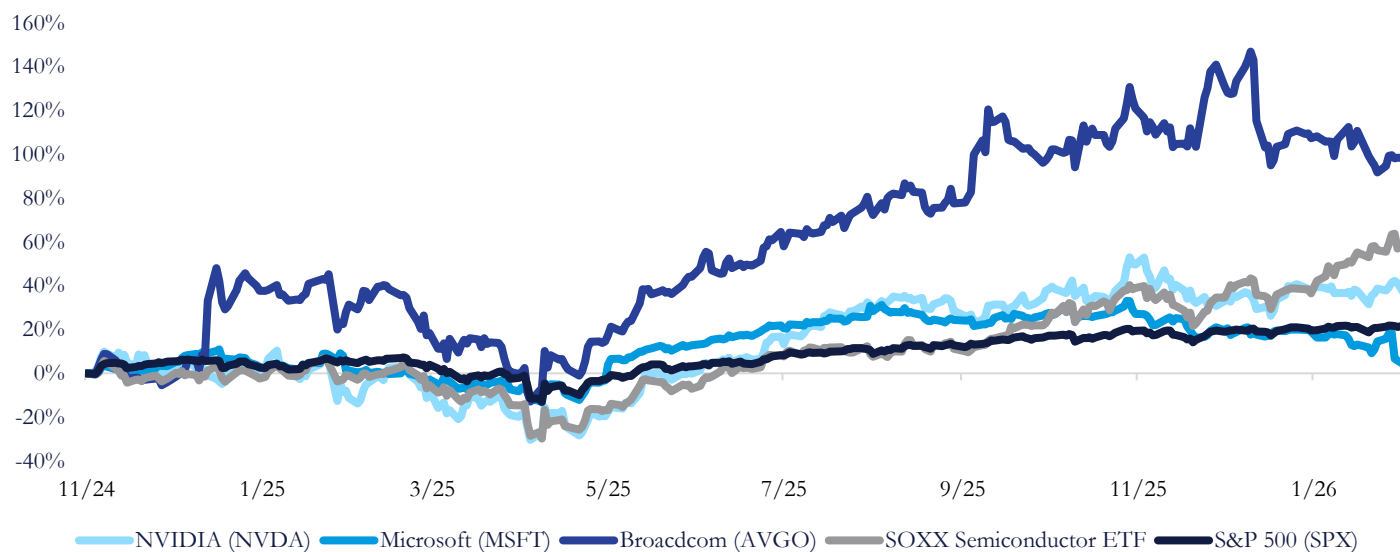
Agentic AI is rapidly changing how business practices run, which in effect is leading to large gains in sectors that are the foundation, infrastructure, and hold all the tools that are enabling this swift transition. Software and Cloud suppliers, for example Microsoft (MSFT) are on the front lines for this transition, with one of the leading platforms: Microsoft 365 Copilot being implemented in roughly 70% of Fortune 500 companies, which is being used to sharpen productivity through AI-propelled assistance. The demand for GPUs to help facilitate AI load has skyrocketed in recent years with a particular semiconductor company, NVIDIA (NVDA) experiencing most of this surge. The agentic AI market is projected to grow at 43.84% CAGR and reaching \$166 billion by 2034. With this market expected to grow at such a rapid rate, cybersecurity is needed more than ever with agentic AI becoming widely adopted, advanced security with the ability to monitor and control the behavior AI in real time is essential to making sure AI isn't being abused. As agentic AI continues to grow these sectors will continue to grow as well, with agentic AI becoming the backbone of business practices and meeting the current demand. On the other hand, however, technology jobs that include a relatively high amount of labor are facing challenges about the "AI Takeover", traditional IT services and contracting companies are seeing a reduction in demand due to AI automation, removing the need for manual interruption. Some sectors within the Tech. space aren't available for AI automation because some manufacturing segments have low-digital maturity and in effect aren't able to use the benefits of AI till they undergo serious IT modernization so that they can stay competitive in this new frontier.

Outliers/New Front

Outside of the conventional sectors for the adoption of agentic AI, there are a few spaces that are surfacing as outliers and new frontiers representing the idea of widespread AI adoption as well as massive potential for growth. In the finance sector, companies like Mastercard are using AI to enhance customer services and operations. The retail sector is using AI to assist in inventory management, pricing strategies, and customer satisfaction to ensure efficiency in operations. In healthcare, agentic AI is being tested to be used to help with administration to even diagnosing patients more efficiently. Lastly, Decentralized Autonomous Organizations (DAOs) are evolving and emerging with new integration from agentic AI for blockchain technologies, bringing a new front to governance as well as paving the way for different operations models across the industries. This ultimately shows the potential that agentic AI has on not just the traditional sectors but also emerging sectors that have exponential growth.

AI Infrastructure Leaders vs. S&P 500 Indexed to 100

Cumulative Return % | Since Nov 1, 2024



INFRASTRUCTURE SPOTLIGHT: INTEL

Intel is a leading global semiconductor manufacturer and integrated device manufacturer. Its main workstreams include designing microprocessors, data center chips, and advanced semiconductor technologies. As one of the few U.S.-based companies with large scale fabrications capabilities, Intel is paving the way in the semiconductor infrastructure space and supply chain resilience goals. However, while CPUs are its main selling point, the company is currently expanding into foundry services and AI accelerators to re-establish their leadership while also adapting to the changing semiconductor market.



Nasdaq: INTC

Share Price (3/23/26): \$43.46

Market Cap: \$277.82B

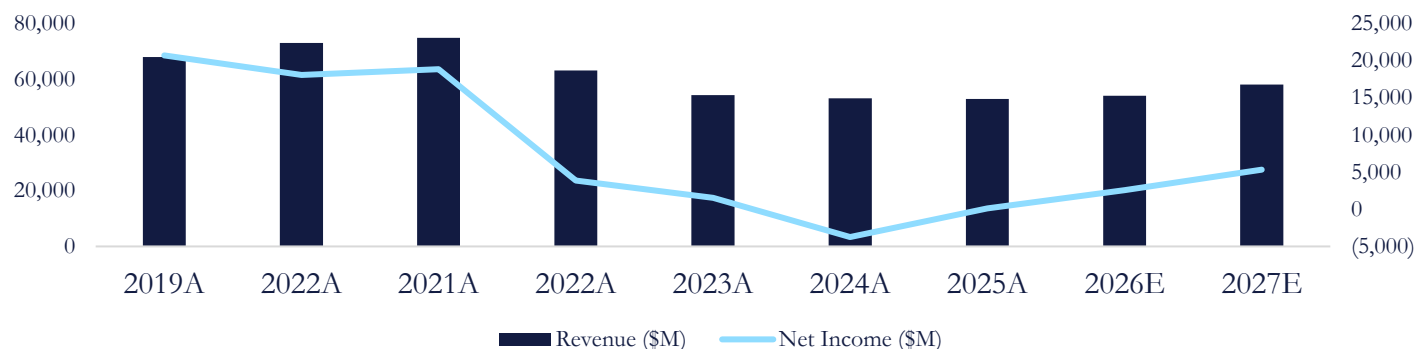
Domestic Manufacturing

Intel is investing heavily in U.S. based plants: \$36 billion in Oregon to advance leading-edge R&D and manufacturing, \$32 billion to Arizona to build two new fabs and upgrade existing facilities, \$4 billion to New Mexico to scale advanced packaging technologies, \$28 billion to Ohio to create a new Midwest semiconductor hub. The company currently employs 45,000 people in the U.S. and contributed \$102 billion annually to U.S. GDP. With the aforementioned expansion plans in place, Intel is expected to create 10,000 Intel jobs, 20,000 construction jobs, and 50,000 indirect jobs. Together, these investments represent a significant effort to reinforce U.S. tech leadership.

Financial Performance

Intel ended with \$52.9 billion in revenue (flat YoY), with gross margin rising to 34.8% and R&D and MG&A falling 17%. Cash generation also remained strong with \$9.7 billion in operating cash flow. However, management has guided towards a softer Q1 2026 due to supply constraints, forecasting \$11.7 to \$12.7 billion in revenue. Looking closely at its segments, client computing softened down 3% YoY, while Data Center and AI was up 5% YoY and Intel Foundry was up 3% YoY. This shows improvement towards infrastructure and AI-linked demand.

Intel's Annual Revenue vs. Net Income



Consensus Ratings

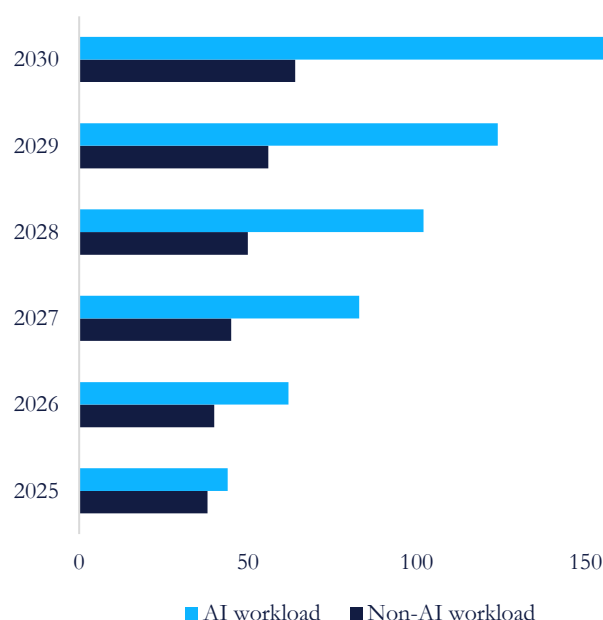
Despite Intel beating 2025 Q4 earnings expectations, its stock price fell 17%, with investors worried about 2026 Q1 outlooks. Management argued that supply constraints and yield issues are causing short term weaknesses; lower yield here means fewer usable chips which means the per chip cost is higher. Intel had rallied sharply in 2025 and surged again in January before this earnings reset, so this weak guidance triggered an extremely fast de-rating. That said with the backing of the U.S. government (specifically referencing the CHIPS Act), AI demand tailwinds, and supply expecting to improve after 2026 Q1, many analysts are bullish. While there are concerns about shorter term volatility (due to unproven turnaround and expected flat turnaround), the consensus seems to be that, with a longer time horizon and with the belief that Intel can reclaim its foundry competitiveness (as management suggests) and capture AI infrastructure demand, Intel is a buy. The bear case here is only that turnaround remains executive-sensitive which would mean higher volatility in the next few quarters even if the multi-year story pans out.

DATA CENTERS & ENERGY USAGE

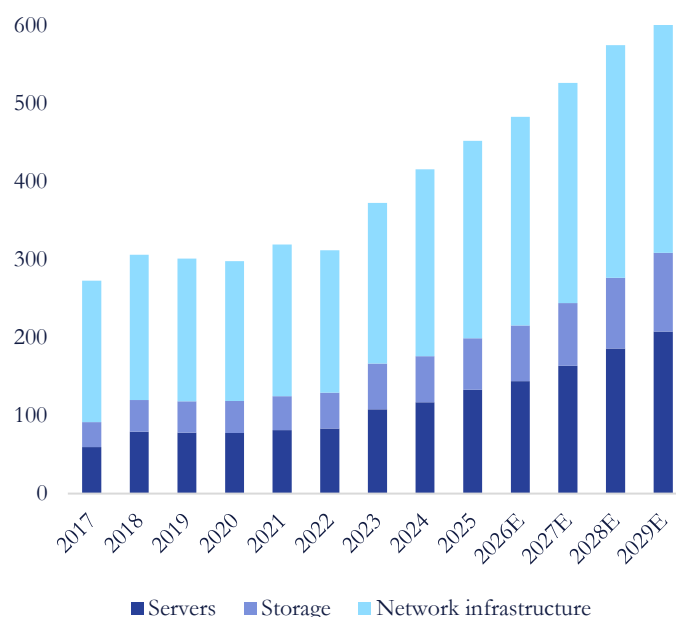
Data Center Background

Data centers are the backbone of the AI-industry housing critical infrastructure; servers, storage systems, and networking equipment, used to manage vast amounts of digital data. As of 2025, there are over 12,000 data centers globally with the U.S. housing approximately 5,500 facilities. Data centers support storing and processing, cloud computing and AI powering including the training and inference for AI models. There are three key types of data centers; enterprise which are owned and operated by a singular company, colocation which are shared facilities, and cloud which provides virtualized, off-premise facilities for on-demand, scalable computing resources. Due to the scale of operations, cooling systems, and constant uptime, data centers consume up to 50x more energy than a standard commercial building. This demand rapidly accelerating with U.S. facilities alone consuming 176-183 TWh annually, over 4% of total U.S. electricity. AI, machine learning, and cloud computing are significantly driving up power density with some racks consuming 40-125kW. AI drive is projected to increase data center power demand by 165% by 2030. As of 2024, 40% of U.S. electricity for data centers was supplied by natural gas, 24% by renewables, 15% coal, and 20% nuclear energy.

Global Data Center Capacity Demand (GW)



Revenue in Global Data Center Market (\$B)



Nuclear Energy

Nuclear energy is the energy held in the core of an atom released through either the splitting or combination of atoms, known as fission and fusion respectively. This generates massive amounts of heat which in turn creates steam which turns turbines, thus providing a constant energy supply with no carbon emissions. Fission and fusion technology makes a compelling case to power data center infrastructure as it provides constant, high-density power, low emissions, and scalability for growth. Technology companies including Meta, Amazon, Microsoft, and Google have agreements to purchase power from nuclear plants or are investing to boost emerging advancements in the space. The main roadblock to nuclear energy adoption is time. With the current rate of AI growth, there will be a need for substantial increased power over the next three to five years while building new nuclear plants can take upwards of a decade. Despite this, investment in nuclear energy has increased substantially driven by necessity and strong margins in major players allowing for growth investment. Nuclear energy is also supported in the U.S. with 2024 legislation including the Atomic Energy Advancement Act which directs the Nuclear Regulatory Commission to streamline approval of new reactor designs creating additional tailwinds.

NUCLEAR ENERGY INVESTMENT

Technology Sector Investment in Nuclear

Top technology companies including Amazon Web Services, Google, Meta, and Microsoft all have agreements to buy nuclear-generated electricity. This investment comes either as a long-term power purchasing agreement (PPA) where a buyer agrees to purchase electricity from a power generator at a pre-agreed term, or as investment in emerging nuclear technologies such as small modular reactors (SMRs) which feature compact designs ideal for specific industrial applications. An additional benefit of SMRs is that components of each unit could be mass-produced on an assembly line reducing costs. Increased demand has led to several nuclear power plants being restarted including Three Mile Island in Pennsylvania which will be used to power Microsoft's data centers as soon as 2028. Three Mile Island was the scene of the worst commercial nuclear accident in U.S. history when in 1979 one of the plants two reactors cooling mechanisms malfunctioned. The Duane Arnold nuclear plant northwest of Cedar Rapids, Iowa has plans to restart operations by 2030 after shutting down in 2020 due to economic constraints. In addition to restarting past nuclear sites, there's been increased investment across innovative nuclear designs. Google announced in August 2025, the site of its first nuclear reactor, as part of its 2024 deal with Kairos Power in Oak Ridge, Tennessee. The plant will supply Google with 50 megawatts of power under long-term purchase agreements. The Oak Ridge Plant is the first of a 500-megawatt deal with Kairos that comprises numerous SMRs signaling positive market sentiment about future success of this technology. Without Google's investment, the project likely wouldn't have found other capital at scale. The project and investing in Nuclear energy still comes with high risk as there hasn't been successful adaption a scale and new technologies are untried. Despite risk of investment, many technology companies continue to invest with hopes of a consistent, never ending power source.

Power Purchasing Agreements Fueling Restart of Nuclear Plants

Purchasing Power Agreements (PPAs) create price certainty as contracts lock in energy prices and purchases for 10-25+ years. This benefits buyers from price volatility, reduces risk for sellers by guaranteeing revenue streams. Additionally, PPAs enables project financing with stable, contracted cash flows used to underwrite debt, lower financing costs, and de-risk capex intensive projects. Major tech companies have increased volume of PPAs with nuclear energy over the past 5 years including Microsoft signing Constellation Energies largest ever PPA in September 2024 used to restart Nuclear Reactors on Three Mile Island. Several technology companies PPAs with nuclear energy players are highlighted below.



Amazon signed PPA covering 1.9 GW through 2042 of nuclear energy



25-year PPA to restart Duane Arnold nuclear power plant for, operations to start in 2029



Google invests in SMR nuclear generation, the first U.S. binding deal



PPA for 200 MW from planned ARC fusion plant with target of 2030 for generation



Meta signed a 20-year PPA to secure 1.1 GW of nuclear power



Meta signed a 20-year PPA with Vistra for 2.6+ GW from 3 existing nuclear plants



20-year PPA with Constellation to restart Three Mile Island covering 835 MW



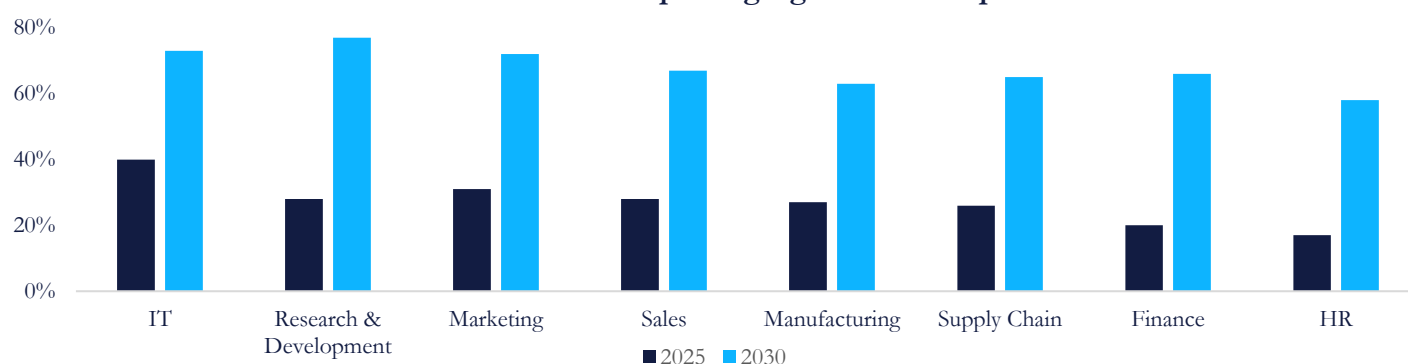
Commercial deal to receive 50 MW starting in 2028 from Polarix prototype

INDUSTRY APPLICATIONS

Growing Capabilities and Efficiency Gain Driving Industry Adoption

The Agentic AI market has seen explosive growth with projections of a 43-47% CAGR from 2026 - 2034. This surge underlines a shift from passive generative AI to autonomous systems with the ability to understand context, learn, and make decisions autonomously. AI agents have the potential to revolutionize all industries. Early adopters have the potential to gain structural cost and speed advantages. As agentic AI capabilities mature and ROI becomes more visible, companies will need to access AI capabilities to remain competitive.

Share of Executives Expecting Agentic AI Adoption



Retail & E-Commerce

What adoption looks like: Autonomous demand forecasting & replenishment, pricing agents that analyze data then determine competitive price, AI shopping agents that guide customers from discovery to checkout, supply chain orchestration, and returns or fraud agents.

Why adoption is appealing: Retail operates on thin margins and high volume, agentic AI drives lower inventory carrying costs, and fewer stockouts or markdowns.

Key companies:



Financial Services

What adoption looks like: Fraud detection agents that monitor transactions on a continuous basis, risk and compliance agents handling KYC, AML, and regulatory reporting, autonomous underwriting, trading and treasury agents executing within defined risk limits, and client service agents.

Why adoption is appealing: Financial services are rule driven and require decision making. Agentic AI delivers faster responses to market volatility, lower compliance costs, and reduced operational risks.

Key companies:



Healthcare

What adoption looks like: Care coordination agents scheduling tests, referrals, and follow-ups, clinical decision agents flagging risk, triaging patients, and recommending actions, revenue cycle agents handling billing, and operational agents optimizing staffing, bed capacity, and throughput.

Why adoption is appealing: Healthcare is full of administrative complexity. Agentic AI reduces clinician burnout, improves patient outcomes via faster intervention, and drives cost saving.

Key companies:



Energy & Utilities

What adoption looks like: Grid management balancing load, DERs, and storage, predictive maintenance identifying failure risks, energy portfolio optimizing dispatch, hedging, and procurement, cybersecurity agents monitoring grid infrastructure, and outage response coordinating crews.

Why adoption is appealing: Energy systems are cap-intensive, highly regulated, and increasingly complex due to renewables and DERs. Agentic AI enables higher grid reliability and lower management costs.

Key companies:



RECENT NEWS

Agentic AI in Healthcare

During NVIDIA's GTC 2026 in March, CEO Jensen Huang predicted surging demand for computing power. He highlighted a shift towards agentic AI in the healthcare and life science spaces, with many major pharmaceutical companies already investing millions in AI infrastructure (Eli Lilly partnering with NVIDIA on a \$1 billion plan to advance AI-driven drug discovery). NVIDIA has also released tools for healthcare robotics and AI agents that help with clinical workflows, patient care, and research. With the strengthening convergence of AI and data, the future of drug development and healthcare system operations is shifting, towards technology-driven medicine.

Vulnerabilities in the AI Supply Chain

The AI supply chain in the U.S. faces critical vulnerabilities ranging from "data poisoning" of training sets and the exploitation of open-source data. In 2026, these risks are compounded by "agentic AI" threats via autonomous systems that can scale attacks across vendor ecosystems faster than human defenders can react. Current U.S. policy increasingly focuses on securing this infrastructure through mandatory Software Bills of Materials (SBOMs) and scrutiny of foreign-sourced hardware. Furthermore, the concentration of high-end semiconductor manufacturing in geopolitically sensitive regions such as Taiwan poses a significant risk for the American AI industry.

Shift towards Agent-as-a-Service space

Instead of application-based software, we are seeing a shift towards agent as a service, where autonomous AI agents preform tasks and make decisions. With this comes the need for new software infrastructure, including systems for agent execution, coordination, memory and data storage and integration. At the same time, companies will need to manage the pricing, as agentic AI shifts away from traditional subscription models towards usage and outcome-based pricing. Companies who can manage multiple agents and coordinate workflows are those who will succeed, while those with underlying AI models and runtimes may become commoditized.

Key Players

 Established in 1975. Products include Azure, Microsoft 365, Windows, Xbox, GitHub, Copilot Studio	 Established in 1998. Products include Google Search, Android, Chrome, YouTube, Project Astra	 Established in 1994. Products include Amazon Web Services (AWS), Whole Foods Market, Twitch, Ring	 Established in 1911. Products include IBM software, hybrid cloud and consulting services, IBM Z mainframes
 Established in 1977. Products include Oracle Database, Oracle Cloud Infrastructure, Java, MySQL	 Established in 1999. Products include Sales Cloud, Service Cloud, Slack, Salesforce, MuleSoft, Agentforce	 Established in 2003. Products include ServiceNow AI Platform, Now Platform, Customer Service Management	 Established in 2005. Products include Agent Builder, Maestro, Autopilot, RPA Tools (Studio and Orchestrator)

These industry leaders are driving digital transformation through major advancements in agentic workflows. Recent developments emphasize a shift toward autonomous enterprise software, with products like Microsoft's Copilot Studio and Salesforce's Agentforce redefining business automation by integrating AI into their cloud ecosystems.

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RESEARCH

Public Market Coverage

INDUSTRY HEADWINDS

Regulatory Fragmentation

At the federal level, policymakers have made it clear that their decisions focus on ensuring America leads global AI innovation, as evidenced by the AI Action Plan released in July 2025. Even still, there is a lack of federal uniformity, allowing state legislatures to introduce their own AI regulations for the time being. This fragmentation has forced organizations into an undesirable situation as they attempt to navigate the legal minefield involved in developing and using AI. While many laws are still months away from going into effect, a theme is emerging across the US. State-level enforcement is beginning to crack down on organizations to ensure greater accountability and proper data and documentation controls, while federal agencies issue orders to influence state regulations toward less restrictive rules for AI innovation and use.

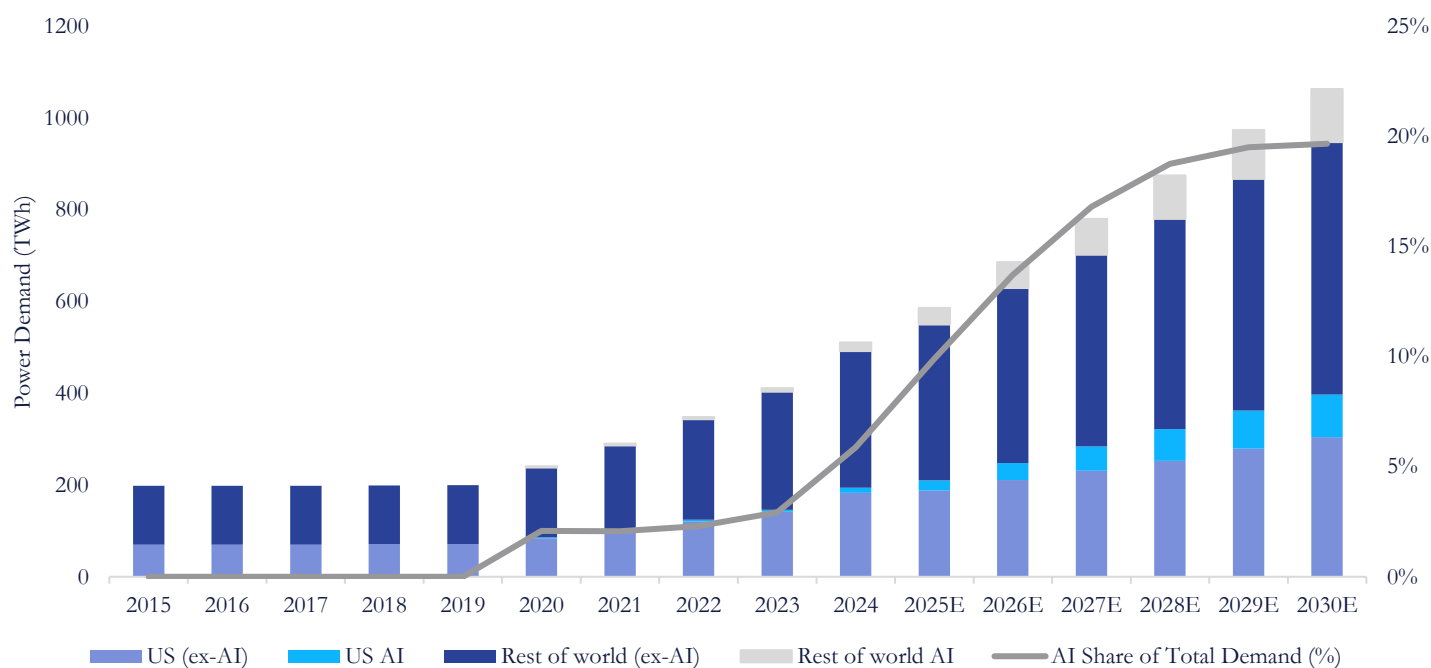
Revenue & Cost Uncertainty

Organizations are experimenting with AI agents at increasing rates, backed by hopes of efficiency and cost savings, and fears of losing competitive advantage if they don't. A major concern remains the realization of financial returns and impact at the enterprise level. Only 12% of CEOs report having successfully decreased costs and grown revenue using AI, with 42% seeing no change in either category. Many researchers attribute the lack of ROI to the technological potential of AI being far more advanced than the workforce readiness, trust infrastructure, and strategic integration needed to realize the benefits AI offers fully. As organizations build stronger foundations to support AI's growing capabilities, successful adoption and value-add is expected to increase, but with no guarantee.

Energy & Power Constraints

A major pitfall of the scale of AI is the exponential growth in energy and power needs to support its infrastructure. In 2024, the power demand from AI data centers in the U.S. was 4 gigawatts, estimated to reach over 123 gigawatts by 2035, representing a thirtyfold increase in under 10 years. This represents extreme change in the U.S. power industry which has had minimal growth for two decades prior to 2020. The constant need for energy challenges grid operations by forming concentrated clusters of 24/7 power demand. Shutdowns and disruptions increase significantly in areas surrounding data centers as grids struggle to keep pace with demand. This bottleneck is only intensifying as demand continues to significantly outpace attempts to replace aging grids nationwide, with no signs of slowing down.

Data Center Power Demand (in TWh)



INDUSTRY TAILWINDS

Hardware Upgrade Cycle

Before the modern AI boom, traditional data centers upgraded servers every 4-7 years; this cycle has since shortened to 12-18 months. NVIDIA has been at the forefront of this accelerated cycle, with its recent architectural releases: Ampere (2020), Hopper (2022), and Blackwell (2024), with Rubin expected in 2026. OpenAI's GPT-3 had 175 billion parameters in 2020, GPT-4 had over 1.8 trillion in 2024, and next-gen models are expected to exceed 10 trillion in 2026. As AI models continue to grow in complexity at an exponential rate, firms developing them are continuously seeking access to the newest chips. This creates an innovation feedback loop in which faster hardware enables larger models, thereby increasing demand for more efficient hardware to support them. Also, as data centers consume massive amounts of power, chips with increased energy efficiency are needed to reduce heat and power consumption.

Model Cost Deflation

Over the past year, AI models costs have fallen significantly due to three main factors: intense VC funding driving competition, the rise of open-source models that increase price pressure, and fast improvements in hardware (like GPUs). Now more than ever, the cost of using AI has fallen sharply, making it economically viable for software companies to integrate AI into their products. Not only does this allow them to improve features, it also allows them to charge higher prices (in return for this increased efficiency). Paralleling the rise in cloud computing, as infrastructure costs fell, software companies were able to capture most of the value through high-margin innovation. Should a similar idea prevail, while AI model builders compete and drive down prices, it may ultimately be the software companies that become the long-term winners. The firms that use AI to deliver scalable solutions to end users will thrive.

Expected and Realized Benefits of AI Initiatives in 2023 (in %)



Industrial Autonomy

Autonomous agents don't just follow scripts; they're able to iteratively reason, evaluate results, and adjust plans. Instead of waiting for machines to break or problems to occur, agentic AI systems can now predict failures in advance and schedule maintenance before production stops. It's able to optimize workflows, manage inventory movement, and improve efficiency with automated systems; by learning from new data and feedback loops these systems have become increasingly effective over time (minimizing downtime and maintaining operational continuity). However, it is also important to note that the technology presents several risks around bias, privacy concerns, and accountability gaps. Thus, it is important to balance AI's advantages with its potential disadvantages.

THE MAGNIFICENT 7

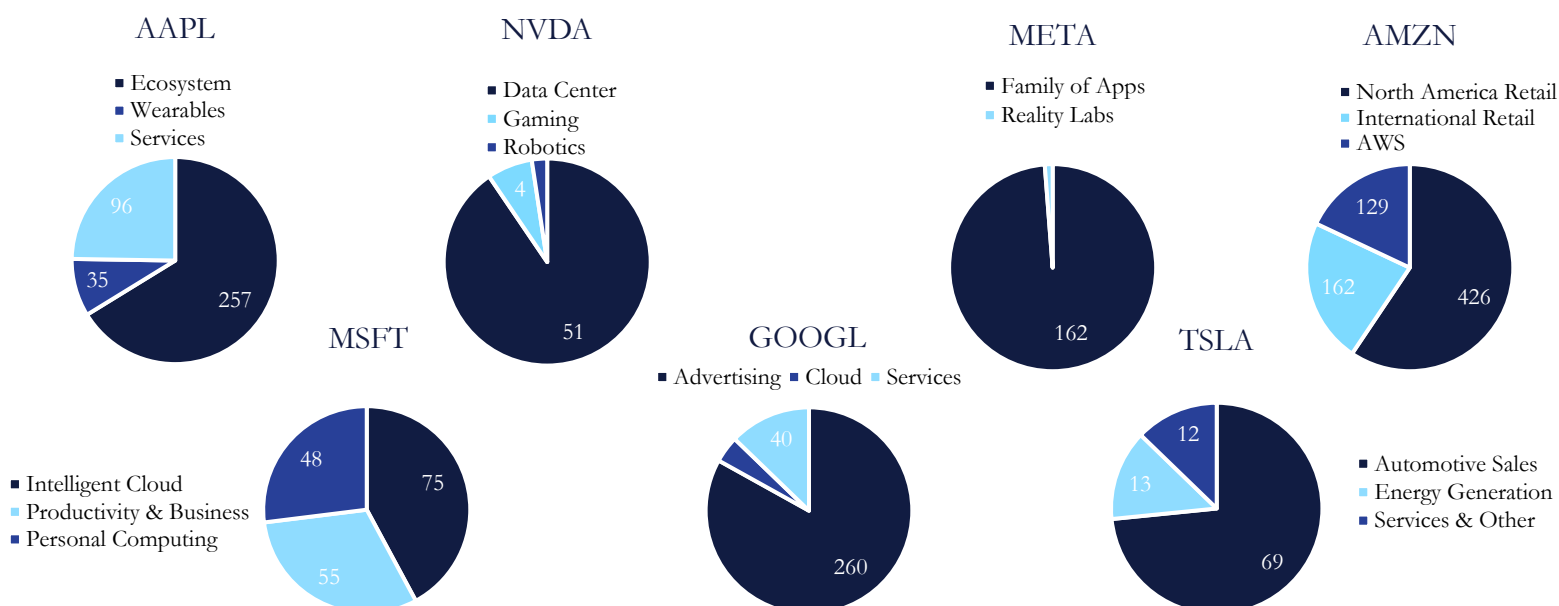
AI-Led Outperformance

The Magnificent 7 – Alphabet, Apple, Amazon, Microsoft, NVIDIA, Meta, and Tesla aren't just a group of large-cap leaders of technology but now have evolved and moved on as the foundational layer for the AI economy around the world. The group overall represents 30% of the total S&P 500 Market Cap., and a projected 22.8% earnings growth rate in 2026 as well as a significant portion of U.S. equity returns in the last two years. However, opposite to previous expansion cycles that have happened within the tech. industry, the outperformance that is occurring is being rapidly supported by fundamentals. Aggregate Artificial Intelligence and datacenter spending has increased drastically, with primarily Hyperscale Capex., set to reach \$630 billion by the end of 2026 from the Magnificent 7. This increase in spending is tied to revenue growth, showing a structural investment, that can be seen with cloud divisions across Microsoft and Alphabet collectively, reaching \$75 billion annually. This surge is due to AI workloads creating demand for compute and storage services. High-Performance GPUs are being supplied by NVIDIA who is the clear dominant figure in this space and benefitting the most from this infrastructure buildout. The growth for data center revenue has been greater than the overarching semiconductor industry's average, showing the consistent demand even with pricing that is higher than average across the industry.

Valuation Divide

The Magnificent 7 are showing a large valuation dispersion with each company projecting different outlooks with some on the upside and some facing uncertainty. In the market right now, names like NVIDIA and Microsoft are trading at premiums due to their shift to AI showing in their profits. Their shares are higher than usual due to strong orders in the future as well as targeting big corporate clients. Amazon is benefitting with a better performance in cloud services with rising demand in Artificial Intelligence workloads causing cash flow to finally start rising in 2026. Still, Apple's stock price shows the power of the company's ecosystem as well as the uncertainty investors face on how AI will change devices. Tesla's market value is the most different from any other, with the only driving factors being bets the company makes on AI in transportation as well as self-driving cars. This means the stock is very reactive to economic trends and any changes the company faces in development of new technologies. On the other hand, Meta's stock shows how fast sentiment changes when AI gets investments and instantly translates to profits. Alphabet still runs a primary business in search, and not so much of staying as ahead in creative AI tools. This mix represents the label of uncertainty within Meta and Alphabet and represents the outlook for their futures, which are bound to change due to the high Capital expenditure spend of both.

Revenue Mix



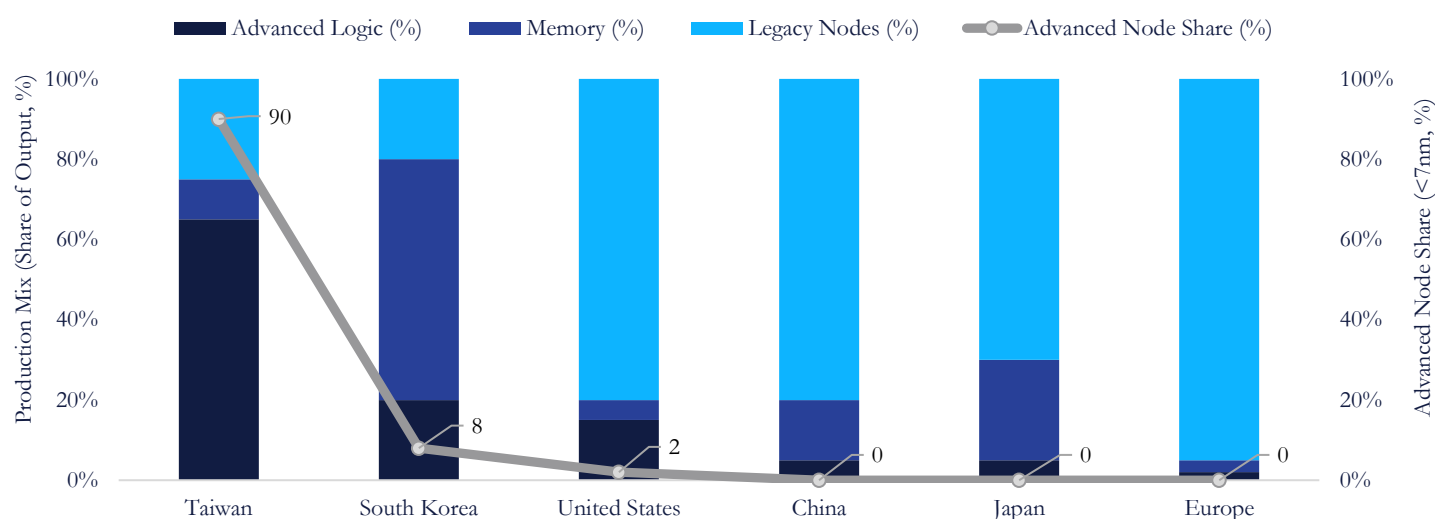
Sources: Alphabet, Amazon, Apple, Goldman Sachs, Meta, Microsoft, NVIDIA, S&P Dow Jones, Tesla, TSMC, Yahoo Finance

SEMICONDUCTORS

The Strategic Backbone of the AI Revolution

Compute is the ultimate constraint for AI, not algorithms, and at the end of the day, compute is constrained by semiconductors. The physical backbone of cloud inference, AI model training, and hyperscale data center deployment is dependent on advanced microchips that are manufactured at cutting-edge nodes below 7 nanometers, ultimately making the fabrication capacity of semiconductors one of the most valuable assets in today's global economy. Right now, the production of semiconductors is highly concentrated, Taiwan accounts for 60% of the global market share and 88% of Advanced Node Capacity. South Korea, on the other hand, accounts for 70% of the global market share for dynamic random access memory output, which is highly critical for high-bandwidth AI workloads. As for the United States, even though the country designs 45% of the world's semiconductors, it only produces 17% of the global market share. China demonstrates a high global consumption of these semiconductors but is highly reliant on importing advanced-node manufacturing due to U.S. led trade sanctions and, limited access to EUV lithography, which is an essential part of semiconductor and AI development. Due to this geographic disparity, chips have become a geopolitical point of leverage, causing industrial policy to occur at a rapid rate, with the U.S. CHIPS and Science Act allocating \$52.7 billion manufacturing. Europe has also participated in these initiatives and incentives with the EU Chips Act, allocating €43 billion of public and private investments to double Europe's total market share in microchips. AI training requirements are rapidly accelerating, with frontier models that came out only five years ago propelling rapid growth in AI accelerator demand.

Global Semiconductor Manufacturing Capacity (%)



Pricing Power, Bottlenecks, & Industry Economics

The industries pricing power and operating leverage are shaped by past production levels and geographic positioning. Cutting-edge chip fabrication usually works at gross margins that normally exceed 55-60%. Certain compute that is high-performance as well as AI accelerators delivering gross margins of around 70%. In the last three years, advanced GPUs' average selling prices have exponentially increased, with accelerators like data centers, increasing at rates that are triple-digits YoY in peak deployment AI cycles. Simultaneously, intensity for capital is staying very high, with a single advanced fabrication facility requiring \$20 billion in investments upfront, while on the other hand, highly developed EUV lithography systems can cost \$200 million per unit that is required. Massive fixed costs, along with technological capability that is consistent, make operating leverage very powerful. When rates for utilization increase even a little, the accrued revenue flows disproportionately to the bottom line, which then drives the increased return on capital invested. On the other hand, industries that are downstream like automotives, defense, and cloud computing have little to no substitutions, giving suppliers bargaining power during low supply.

AI INDUSTRY EVOLUTION

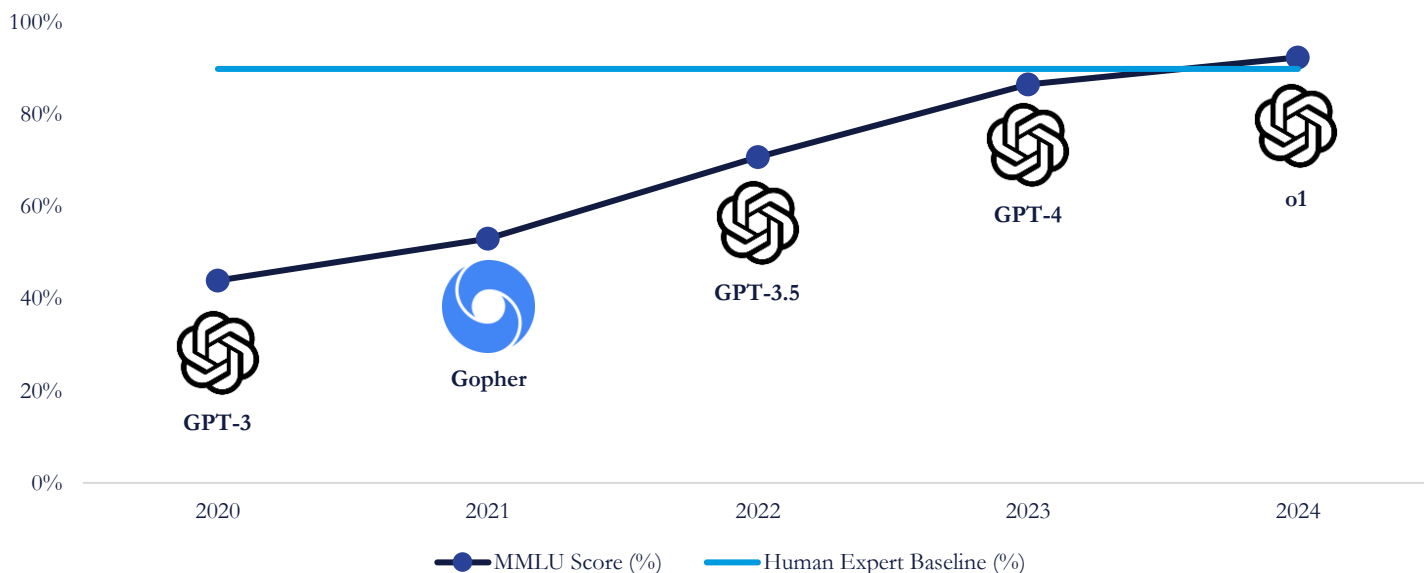
Historical Background of AI

Although AI may seem like a recent development in technology, in reality, the foundation for AI began in the early 1900s and has made significant strides in almost every decade since. In 1950, Alan Turing published “Computer Machinery and Intelligence”, which proposed testing machine intelligence and eventually became the Turing Test, which is used for that exact purpose. There was both rapid growth and struggle for AI research between 1950 and 1980 as media and public interest grew, but government funding and interest continued to be lacking. The 1980s marked a major turning point, as significant research breakthroughs in expert systems, neural networks, and deep learning techniques, along with increased government funding and interest, rapidly emerged. This boom didn’t last long though as both private investors and the government lost interest in AI and halted their funding due to high cost versus seemingly low return in the late 1980’s and early 1990’s. The next 3 decades leading up to 2010 showed impressive strides forward in AI research as early examples of AI agents in research settings and introduction of AI into the public and everyday life with inventions like Roomba, Siri, Watson, Deep Blue. Since 2010, AI has taken off exponentially, leading to present day where major chatbots like GPT and Claude are taking over as Artificial General Intelligence is looking more possible with each passing day. Also, AI models have begun surpassed human expert baselines on many knowledge and reasoning benchmarks including the Massive Multitask Language Understanding (MMLU) for the first time ever, advancing the narrative that AI can surpass humans.

Key Trends Defining Evolution

The market for AI, and more specifically agentic AI, is primarily large enterprises and technology companies. The adoption of AI across these enterprises is increasing rapidly, with 88% of respondents reporting the use of AI, and 79% using generative AI in at least one core business function, according to McKinsey, up from 55% and 33%, respectively, in 2023. The shift to agentic AI is defining the current evolution as active, goal-directed assistants that can plan and execute tasks, have the potential to increase workload capacities, and add enormous value for companies that implement agents. The focus is also shifting to high-quality, proprietary data over raw data volume. This “Data-Centric AI” refinement is producing better results than simply increasing parameter counts. Even still, open-source models such as Meta’s LLaMA are closing the performance gap with proprietary models like GPT-4, creating a democratized environment for access to powerful AI tools. This ties into increased regulation and ethical questions that have arose in recent months. Due to concerns over bias, misinformation, and overall transparency, governments are accelerating regulation, such as the EU AI Act and executive orders in the US.

Human Expert vs AI: MMLU Score



M&A ACTIVITY

In 2026, the agentic AI M&A market has seen massive growth with strategic buyers looking to access first mover advantages and vertical integration with current technology stacks. Momentum in 2026 suggests that global M&A market is structurally reshaping with deal value remaining elevated even though volumes remain low. The M&A market is becoming increasingly K-shaped with strength concentrated in a small number of buyers. AI M&A activity is influencing both technology deals but also highlighting industry convergence with outside sectors such as industrial and healthcare companies willing to pay a premium to access AI capabilities. Two recent transactions are highlighted below exemplifying strong M&A activity.



IBM Acquired Seek.ai on June 2, 2025

Seek was founded on the premise that artificial intelligence will change how enterprises work with data. The company structures data where users can ask questions and Seek will provide answers that aren't presented as code. This process is done through a multi-agent system that generates code, analyzes data, and provides insights. For IBM, the acquisition aims to transform how enterprises analyze data by fueling accelerated AI adoption in finance and healthcare while supporting Seek in expansion. Additionally, the move supports IBM's strategic push into agentic AI with agents performing multi-step tasks to extract value from data. The acquisition coincides with IBM's launch of Watsonx AI Labs, a \$500M backed innovation hub focused on tackling enterprise challenges with AI research and specialized AI agents.



Salesforce Acquired Convergence on June 11, 2025

Convergence is a browser-based AI agent that automates multi-step web-based workflows. The flagship product, Proxy, acts as a virtual assistant that can interact with web interfaces. In May 2025, Salesforce announced an agreement to acquire Convergence to enhance its "Agentforce" platform through the team's experience in building agentic AI. For Convergence, the acquisition will allow a scaling of their innovative products. This acquisition highlights a future where AI isn't just used in scripted tasks (such as prompting ChatGPT) but rather takes actions on its own acting as a human employee. CEO and Co-founder of Convergence stated, "Our mission is to help organizations...adopt it (automation) as the very way work gets done – unlocking new levels of innovation and efficiency." This acquisition signals a step closer to this future.

AI Mentions in Press Releases of Top 100 Corporate Deals in 2025



IPO ACTIVITY

In 2026, the agentic AI IPO market has been characterized by the potential public debuts of massive, \$100+ billion entities as well as upcoming smaller players. After a slow four years, the IPO window has opened again, driven by lowered interest rates and a more AI-friendly regulatory environment. The 2026 landscape is not without friction; while investors are eager for "outcome-based" business models, scrutiny is mounting over massive compute burn rates and the "gigawatt ceiling" of power constraints. This year's listings will either validate these extreme valuations through productivity gains or signal a market shift away from speculative scaling.

ANTHROPIC

AI Safety Research and Development

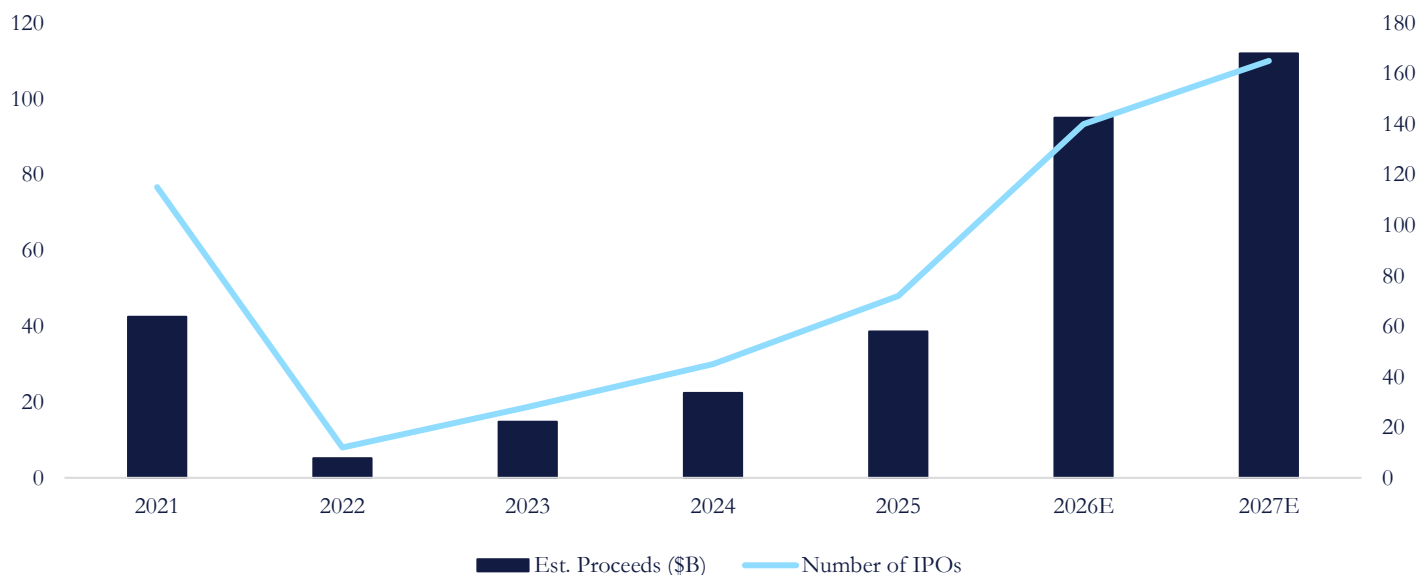
Anticipation for Anthropic's potential IPO has reached new heights following blockbuster financial moves that suggest the company is rapidly outgrowing its private-market constraints. Following a staggering \$30 billion Series G funding round in February 2026 that valued the firm at \$380 billion, Anthropic has reportedly hired the law firm Wilson Sonsini to begin the formal structural and regulatory groundwork for a public listing. This move is widely seen by investors as a strategic attempt to beat OpenAI to the public markets. By accelerating its timeline, Anthropic aims to capture institutional capital before market saturation occurs. The market is encouraged by Anthropic's revenue growth, with the company currently guiding toward an ARR of \$14 billion to \$26 billion by the end of 2026, primarily fueled by Claude's recent breakout success.



Collaborative Interface Design Tool

Figma (FIG) made its public debut on the NYSE in July 2025 with a high-stakes offering that marked a dramatic turn following its blocked \$20 billion merger with Adobe. Figma specializes in collaborative interface design and prototyping, providing a cloud-based platform where teams build, test, and ship digital products. The company is known for its cross-collaborative software, bridging the gap between design and coding. The IPO entered the market priced at \$33 per share, implying a \$16 billion valuation, and delivered a historic first day in which the price skyrocketed to \$115.50 per share, briefly exceeding a \$60 billion valuation. This spike was fueled by intense early demand and a restricted float. Recently, the stock saw a sharp valuation reset as early hype cooled, and it has recently found a floor of \$22 as of March 2026.

Agentic AI IPO: Value (\$B) vs. Volume



PARTNERSHIP ACTIVITY

On February 17, 2026, Meta announced a longterm, multi-year infrastructure partnership with NVIDIA. Meta has agreed to use NVIDIA's full AI computing stack (GPUs, CPUs, networking systems, and software) across its next generation across data centers. Meta will also adopt NVIDIA's Vera Rubin platform for building advanced AI clusters, designed for massive training workloads and high-efficiency inference at scale. The goal is for Meta to embed its powerful AI systems directly into its products, specifically the WhatsApp application. The Confidential Computing technology allows AI-powered features to operate while preserving confidentiality and integrity. Another key component of the deal allows Meta to deploy NVIDIA's Spectrum-X Ethernet platform across its infrastructure footprint to support AI-scale networking. Greater efficiency here translates into lower operating costs and more long-term scaling. This is a key part of what is driving Intel's success into 2027.



Social Media and Technology Company



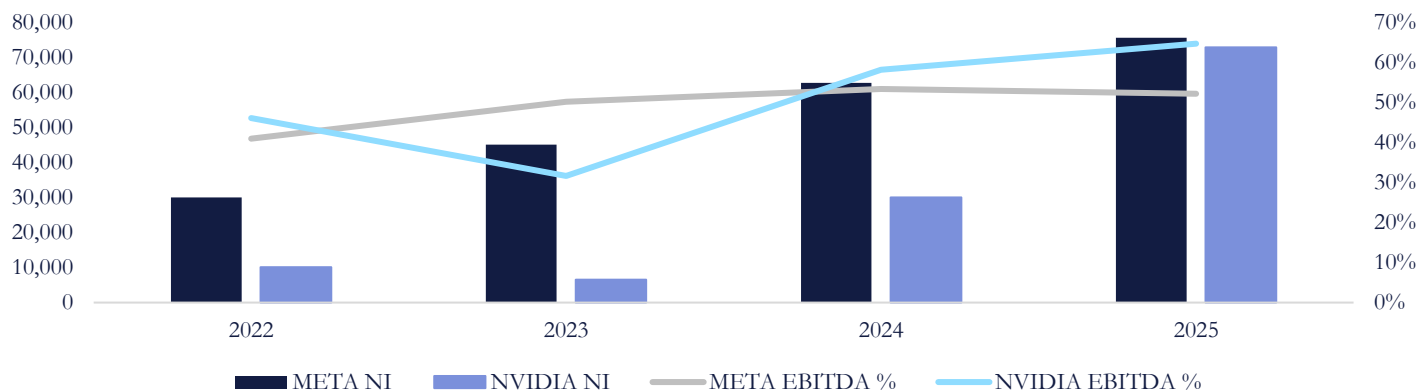
NVIDIA

Semiconductor Company (GPUs)

On February 25, 2026, NVIDIA reported their 2Q4 and 2026 earnings and outlook/ In Q4 2025, NVIDIA had record revenue of \$68.1B, up 20% quarter over quarter and 73% year over year. The main driver was AI infrastructure demand, with data center revenue reaching \$62.3 billion (up 22% QoQ and up 75% YoY). For many investors, this confirmed that hyperscalers, and AI-native companies are still aggressively investing in accelerated computing. Alongside strong revenue, profitability remained strong. Q4 gross margin was 75%, operating income reached \$44.3 billion, and net income hit \$43.0 billion. For 2026, revenue totaled \$215.9 billion, up 65% YoY and full year net income was \$120.1 billion. Despite rising operating expenses, driven by R&D and product expansion, profit growth surprisingly and impressively kept pace.

NVIDIA's strong earnings boosted semiconductor stocks and helped lift the broader market, with the NASDAQ rising 1.26% on January 25. Their positive guidance leading into the 2027 fiscal year calmed anxiety over AI spending, emphasizing that AI infrastructure is still in early stages and requires trillions more in global investment. While some analysts expect AI growth to peak this year before slowing, NVIDIA's report serves as evidence to the contrary – that AI demand remains not only strong but also accelerating through 2027. Looking ahead, for FY 2027, Q1 revenue is expected to hit \$78 billion. Interestingly, NVIDIA states that it is assuming no Data Center compute revenue from China, suggesting that demand is extremely strong even without China's significant contribution. This makes a compelling argument for Intel's growth.

META vs. NVIDIA Financials YoY (\$M)



HYPERSCALERS

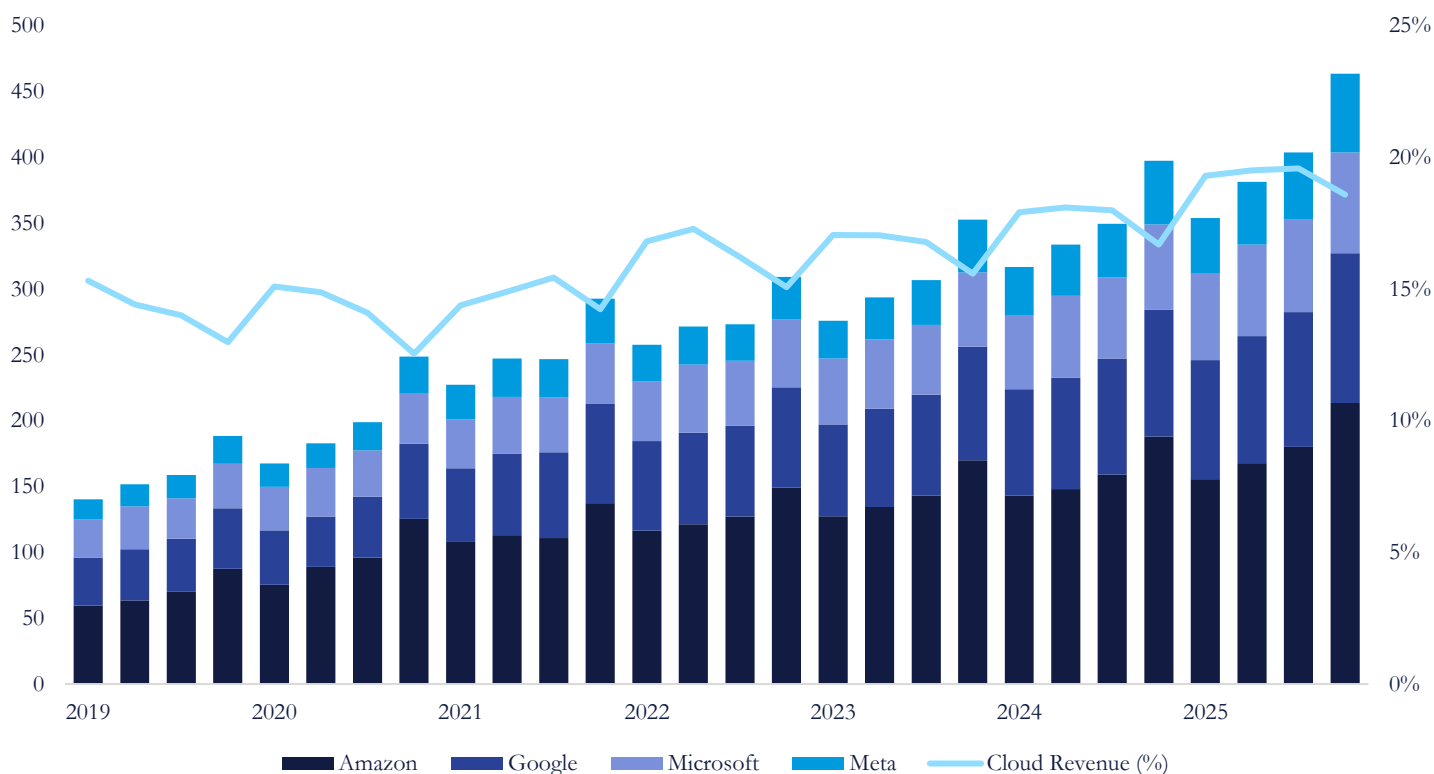
Vertical Integration & Stack Control

The market for cloud infrastructure could reach \$3.4 trillion by 2040, driven by a growing share of enterprise workloads in the public cloud and massive demand for AI capabilities. As this market continues to grow, hyperscalers hoard market share and benefits. A key factor in hyperscalers dominance is their vertically integrated control of the AI stack, enabling scale, efficiency, and cost savings. The AI tech stack comprises four fundamental components: chip, cloud, model, and application. Google and Microsoft have full vertical integration across the AI stack, while other major hyperscalers like Amazon (Chip & Cloud) and Meta (Model & Application) control multiple layers and are nearing full integration. By cutting out the layers they buy from outside players, the best hyperscalers can avoid market pricing pressure, greatly optimizing costs and creating the potential for higher profits. They can also build disruptive AI products more cheaply and quickly than independent players, thanks to a more integrated, cost-effective stack. As these hyperscalers continue to build out their AI stacks, performance, efficiency, and ease of use will increasingly define long-term outcomes in the AI race.

Closed-Loop AI Investment Structure

AI investment has become a virtuous circle of money flowing between Hyperscalers like AWS, Microsoft Azure, and Google Cloud, and model developers including OpenAI, Anthropic, and Meta. A prime example of this is an October 2025 restructuring partnership between OpenAI and Microsoft. This transaction involved Microsoft obtaining a \$135 billion investment in OpenAI, valued at 27% of the company at the time. OpenAI simultaneously contracted to purchase \$250 billion in services from Azure, creating a closed-loop financial ecosystem in which investment becomes infrastructure buildout, revenue becomes valuation, and that valuation prompts additional investment. Experts are worried that this is becoming a house of cards similar to the DotCom bubble. Companies traded capacity with each other using debt, relying on each other's revenue as their capacity. Once the debt load became too high, the house of cards fell. Furthermore, the current structure of AI investment circulates demand, infrastructure ownership, and overall competition between the same few dominant companies. The circular movement of capital flows creates entry barriers for smaller players in the market.

Hyperscaler Total Revenue (\$B) vs Cloud Revenue Share



WINNER AND LOSERS

Healthcare

The Healthcare industry emerges from the ongoing AI revolution as a beneficiary of agentic AI, largely due to the workflow complexity and hefty administrative cost burden. Expenses surrounding administration account for \$1 trillion each year and account for 15-30% of healthcare spending within the U.S. This large market and financial burden create a significant opportunity for automation in this industry. There have been significant reductions in administrative labor costs, with agentic AI systems autonomously managing prior authorizations, claims routing, documentation, and scheduling, with all in all a 20-30% decrease. Regarding diagnostics, Artificial Intelligence triage agents have enhanced efficiency within hospitals as well as decreased repeat scan rates by 25%. LLM AI agents can detect 6.18 times more radiologist recommended follow up imaging studies than manual systems, all with an accuracy of 98.7%. Agentic AI improves margins across hospital systems and payers without replacing the core clinical labor, due to the industry being labor-intensive and margin-constrained. Agentic AI has an immediate positive impact on operating leverage for healthcare systems.

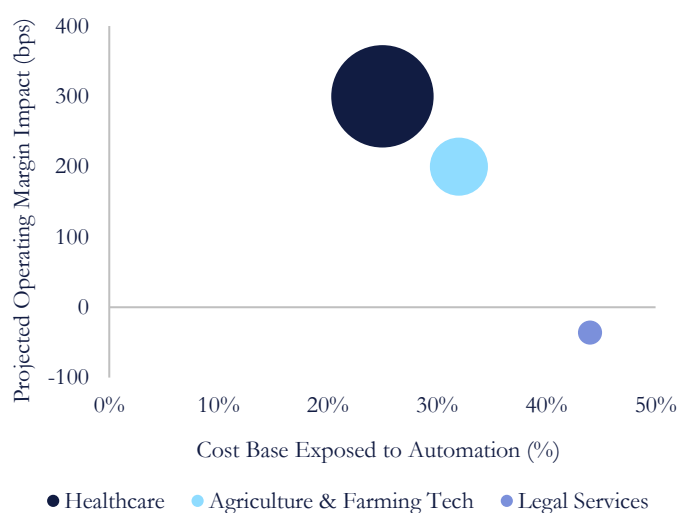
Agriculture & Farming Technology

Agriculture is a sector that can reap the benefits of agentic AI. Unprecedented weather volatility, as well as high input costs, are causing unnecessary and unexpected strain on farms. Roughly 40-50% of a farm's total operating costs come from inputs like fertilizer, seed, fuel, and water, which can be adjusted in real time by utilizing AI monitoring, which in some cases, using AI has reduced input costs by 18%. Irrigation and farming using Artificial Intelligence to monitor crops has resulted in an 8-15% yield increase, as well as a 20% reduction in input costs. This result also resulted in a \$40-\$60 annual cost savings per acre for large row crop operations and will, in effect, make the revenue more stable. Aside from saving costs, agentic AI also helps improve harvest timing and post-harvest waste, which globally accounts for 13% of food production losses. The Agriculture industry as a whole is moving over from farming with machines to farming with AI agents and real-time data, which is the key to margin growth in this industry.

Legal Services

Structurally, the legal services industry is one of the clearest losers in the shift to agentic AI, largely due to how much the industry relies on high volumes of document-driven work and time-based billing models. Regarding total case preparation costs, 15-30% of the costs come from document review, legal research, and drafting. Now, Agentic AI systems perform these exact tasks significantly faster than junior associates, completing tasks like these 40% faster than junior associates with similar accuracy in standard operating procedures. Legal departments that are corporate across the U.S. that have deployed AI agents for contract work and have reported 50% reductions in turnaround time for routine workloads, which lowers departments needs for human work. In the U.S., the legal services industry generates \$396 billion annually, with most revenue coming from labor hours rather than being based on outcome. In litigation and compliance-intensive firms, specifically, AI agents analyze, summarize, and draft legal documents. Additionally, the barrier for mid-sized firms diminishes as they now have access to legal templates and risk analysis through AI without being full-service firms. Only elite advisory firms can defend their margin by doing complex strategic work, while the rest of the industry faces gradual revenue compression as AI automates junior-level workloads. In the next few years, Agentic AI is set to eliminate entry-level legal jobs that can be automated across the United States.

Agentic AI Margin Impact by Industry
Cost Structure Exposure

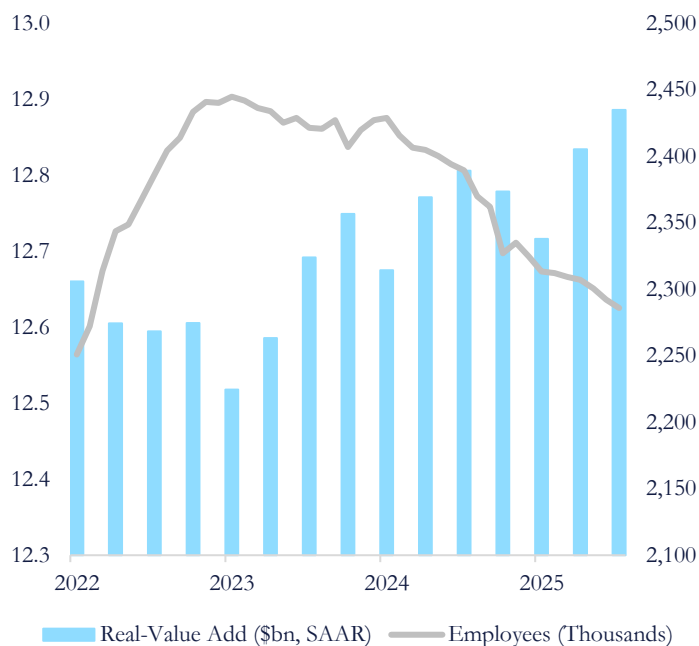


GLOBAL TRENDS: AMER

Industrial Policy & Manufacturing

Recent industrial policies have led to shifts in critical technology manufacturing across North America, but not necessarily in a good way. Despite pressure from tariff announcements by President Trump with the hope of promoting reshoring efforts, most manufacturing firms are not making significant structural changes. Instead, the majority are raising prices or absorbing some of the tariff costs, with only 8% of firms reporting that they have begun moving manufacturing or assembly to the U.S. Recent data suggest that the tariffs are undercutting manufacturing employment rather than boosting it. Payrolls in the sector were reduced by 72,000 positions overall between April 2025's tariff impositions and December of the same year. While China is currently the world's largest manufacturer, the U.S. workforce is much more productive with a value-added of over \$141,000 per worker, trumping China's same metric by over \$120,000. The U.S. manufacturing sector is highly competitive and extremely productive, leading many economists to believe that reshoring efforts are unnecessary. As industrial policies continue to cause uncertainty, many industries, including manufacturing and technology, will continuously be impacted. Whether the impact will be positive will depend on how these policies are enacted and major firms' strategic approaches to managing these changes.

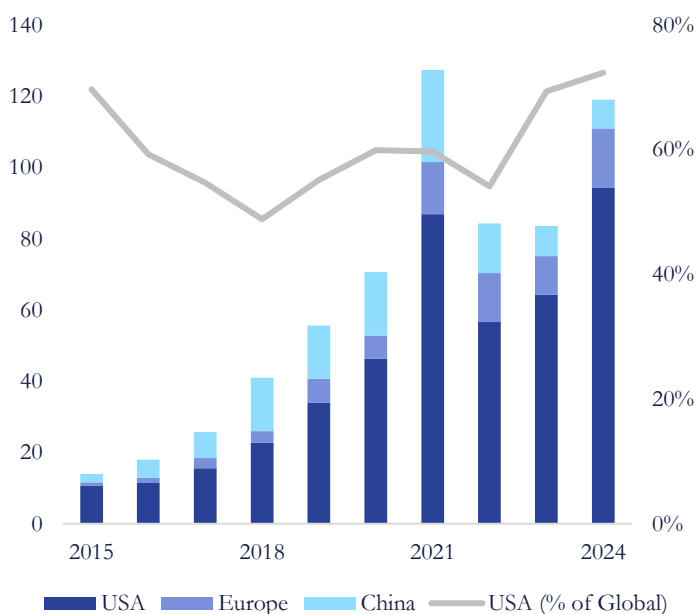
Manufacturing Employees vs Real-Value Add



Capital & Infrastructure Dominance

While many regions in the world are simply participating in AI buildout, the Americas, more specifically the United States, are financing and industrializing it at record levels. In 2024, the United States accounted for 65% (\$94.22 billion) of all private investment in AI, more than three and a half times that of the next two largest investors, Europe and China, combined. This lead is even more pronounced when siloing into generative AI private investment, where U.S. investment exceeded the combined total of China and Europe by \$25.4 billion in 2024, up from the \$21.8 billion gap in 2023. AI dominance in the Americas is reinforced further by ownership of infrastructure. The U.S. is also home to the 4 largest hyperscalers globally (AWS, Microsoft Azure, Google Cloud, Meta), each with existing prevalent infrastructure, with hundreds of billions of dollars committed to additional infrastructure pushes within the next 10 years. Overall, AI infrastructure is undergoing massive expansion with nearly \$3 trillion in investment expected by 2030. Capital intensity is creating regional concentration instead of diffusion, and it is increasingly evident that America is taking the lead as major regions of the world, such as EMEA and APAC, struggle to replicate.

Private Investment in AI (\$B)



GLOBAL TRENDS: EMEA

EU AI Act: Regulation Shaping Design

The EU AI Act is legislation adopted by the EU that monitors the development, use, and marketing of AI systems. It regulates high-risk AI (systems used in the context of rights or decision making) and general-purpose AI (large language models). Unlike other rules in other countries, this act is an all-inclusive (single) law that is enforceable across all EU member states. It was passed on August 1, 2024, but its implementation is spread out across parts up until August 2, 2027. By 2027, there must be full compliance for all high-risk systems with the phasing out schedule giving businesses (all providers, deployers, importers, distributors, and even non-EU entities that have outputs that are used in the EU) enough time to prepare. In this sense, the law is de facto global. Companies outside Europe must comply if they sell products in the EU, have EU customers, or process EU user data. Implications here include a higher cost and barrier to entry for AI deployment (need for high-risk AI system implementation that will increase compliance costs) and redefining what responsible AI legally looks like. It provides a binding definition for prohibited AI uses, transparency needs, human oversight standards, and legislative requirements. With this, the EU is positioning itself as the global regulator of emerging technology, even if it isn't the largest AI developer.

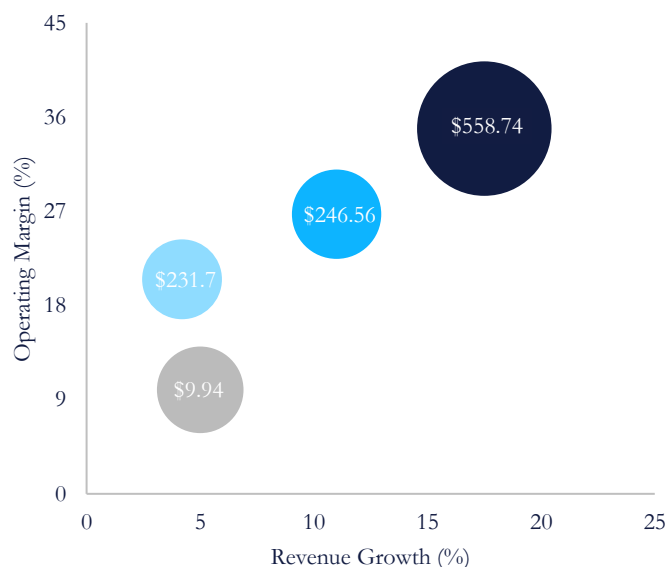
Capital Consolidation

Europe raised \$13 billion in 2024, representing a 22% increase in capital investment Year-Over-Year. That said, deal volume declined by 31%, meaning that investment was larger on a per deal basis. Investors are concentrating capital into foundational models and deep tech, with weaker startups receiving less invested capital by comparison.

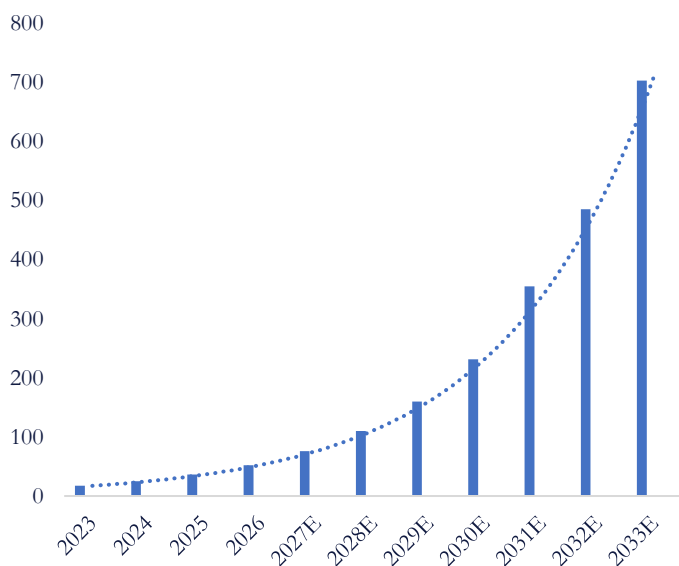
EMEA Leaders, Size (\$B)

* Bubble Size = Market Size

● ASML Holding ● SAP SE ● Siemens AG ● Deutsche Telekom AG



Market Size of AI in MENA (\$B)



Middle East Surge

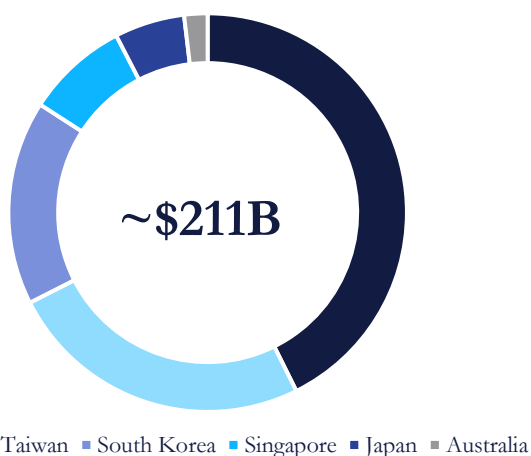
The Middle East, particularly Saudi Arabia and the UAE, are accelerating their AI adoption through top-down strategies. Government-led initiatives such as Saudi Arabia's Vision 2030 and the UAE's National AI Strategy are supported by significant investment in AI infrastructure. The Middle Eastern AI market is on a steep growth trajectory, with estimates reaching over \$265 billion by 2033. Compared to global averages, the Middle East is showing higher employee and executive adoption rates; the balance of enterprise and consumer engagement highlights a sort of grassroots demand that reinforces government actions. The region is moving beyond short-term AI hype and is looking to establish themselves as a long-term player.

GLOBAL TRENDS: APAC

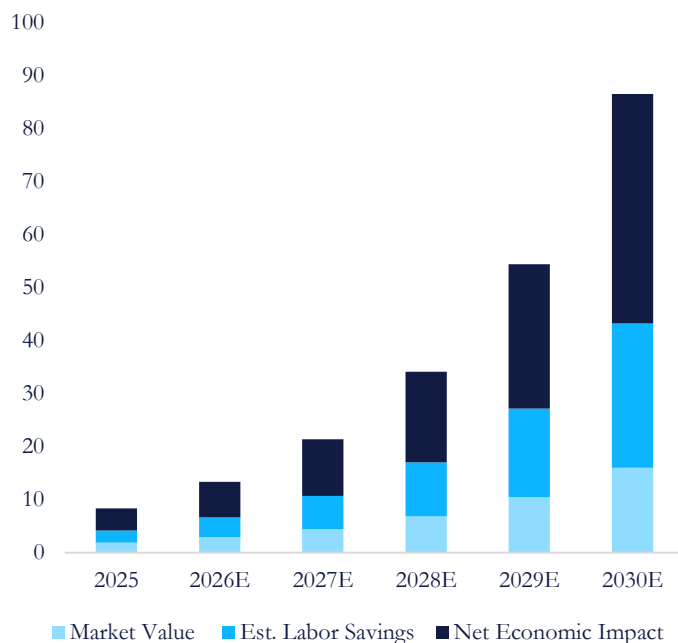
Regional Productivity Gains

The APAC region has transitioned from a landscape of experimental AI implementation to a global leader in agentic AI deployment. Unlike the previous wave of "Generative AI," which focused primarily on content creation, agentic AI in the region is defined by its autonomous systems that can analyze, use tools, and execute end-to-end workflows. Driven by a combination of high digital literacy and the prevalence of "super-app" environments, the region is well positioned to integrate these autonomous agents into daily life and commerce. The aging population in countries like South Korea and Japan is making these systems all the more valuable for long term economic growth and sustainability. The region's main industry's set to benefit from agentic AI integration is healthcare, financial services, and industrials. Facing a projected 11 million worker shortfall by 2030, the region is turning to agentic AI to assist care systems. IDC data shows that 75% of APAC healthcare providers expect greater productivity gains from agentic AI than from GenAI. Logistics hubs in Singapore are adopting agentic systems for autonomous routing and real-time exception handling, while manufacturers in Malaysia use them to optimize energy usage and reduce downtime. In the financial hubs of Singapore and Hong Kong, banks are deploying agents for goal-setting in investment management and real-time fraud mitigation. As deployments scale, the region's shift toward agentic frameworks ensuring that APAC will lead the next generation of transformation.

APAC Agentic AI Investment



APAC Agentic AI Market Growth (\$B)



Governance

A defining trend in the region is the growing "transparency gap." While agentic capabilities are advancing rapidly, the infrastructure for explainability and oversight is lagging. Currently, deployment growth is outstripping transparency tooling by approximately 6x. Governments in the APAC region are responding by developing localized AI Governance Frameworks. For instance, Singapore has established dedicated oversight offices to manage "national projects" that scale AI agents safely within public infrastructure. These frameworks increasingly emphasize human oversight, where the drive for autonomous efficiency must be balanced against the legal requirement for meaningful human intervention. This gap is further widened by the fragmented regulatory landscape across APAC, where the lack of a unified, "Brussels-style" mandate has led to a patchwork of voluntary frameworks. While the ASEAN Guide on AI Governance provides a high-level ethical blueprint, the enforcement of these principles remains uneven, creating a risk where agentic capabilities may outpace local oversight capacity. In markets like South Korea and Australia, this concern is manifesting as a push for "assurance literacy," shifting the focus from algorithmic efficiency to the mitigation of automation in sectors like finance and healthcare.

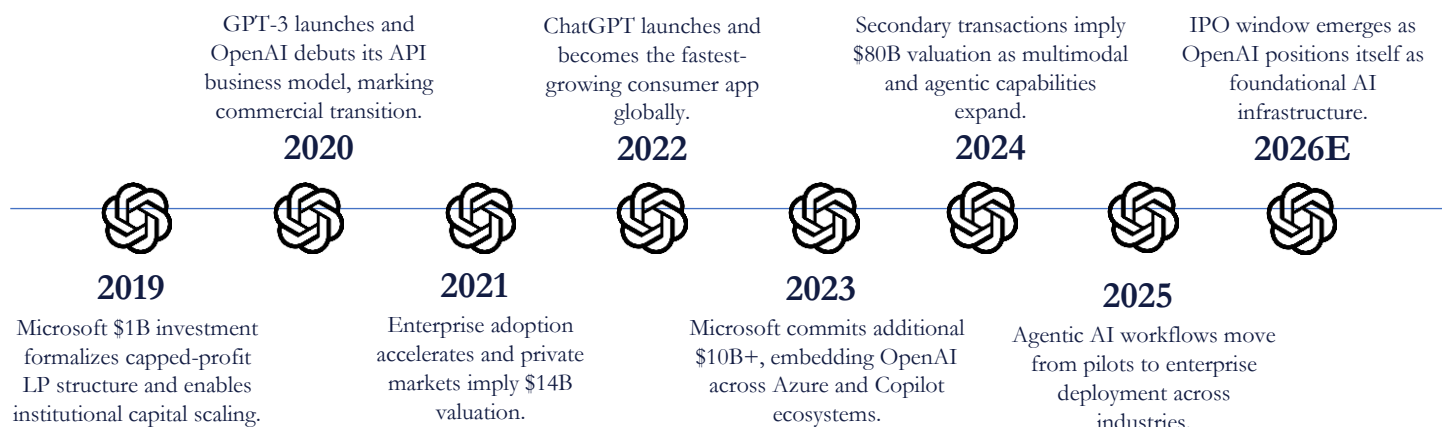
PRIVATE SPOTLIGHT: OpenAI

Business Model

OpenAI, as a company, has evolved from being a research-focused AI laboratory to now being a foundational platform that powers both consumer-facing and enterprise AI deployment globally. Through multimodal families, GPT-4, GPT-4o, as well as the global adoption of ChatGPT, the company has now created the largest distribution channel for AI, all while scaling their business through API usage, Microsoft Copilot, and subscriptions. Most AI model companies direct most of their focus to benchmarking, but don't build out end-to-end offerings. OpenAI, on the other hand, has a fully vertically integrated ecosystem with model training, consumer engagement, and hyperscaler-backed compute infrastructure that's backed via Azure. OpenAI is unique in the AI sector due to the company evolving from being a model provider to now a system that is embedded into all hundreds of applications.

Capital Formation & Valuation

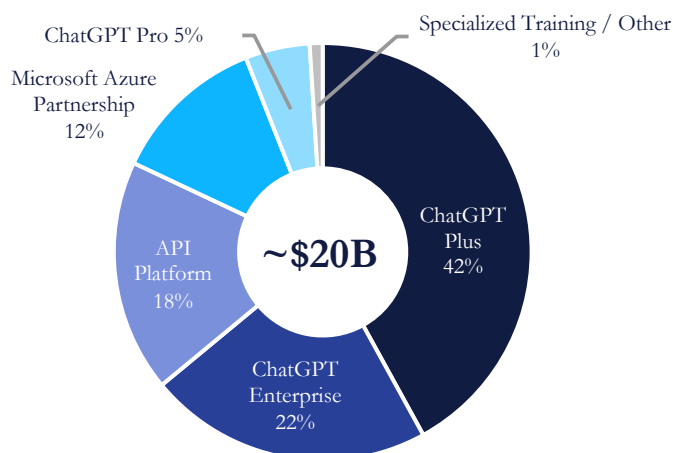
OpenAI's capital trajectory reflects how quickly the company has moved from being just an experimental AI lab to becoming a platform at infrastructure scale. In 2019, the company received its first strategic round, receiving \$1 billion, after OpenAI became a LP of a Special Purpose Vehicle that had a capped profit structure, allowing the company to train large-scale models. With the launch of ChatGPT in 2022, there was a dramatic change, with the new model bringing a surge of user activity and, in turn, creating demand for enterprises. In 2023, Microsoft invested an additional \$10 billion (total is \$13 billion in investments) to embed OpenAI across Azure and enterprise Copilot products. The company's valuation towards the end of 2025 was \$500 billion, reflecting the growing amount of revenue being generated by the enterprise monetization business, as well as the increasing interest from investors in foundation models.



IPO Pathway & Investment Implications

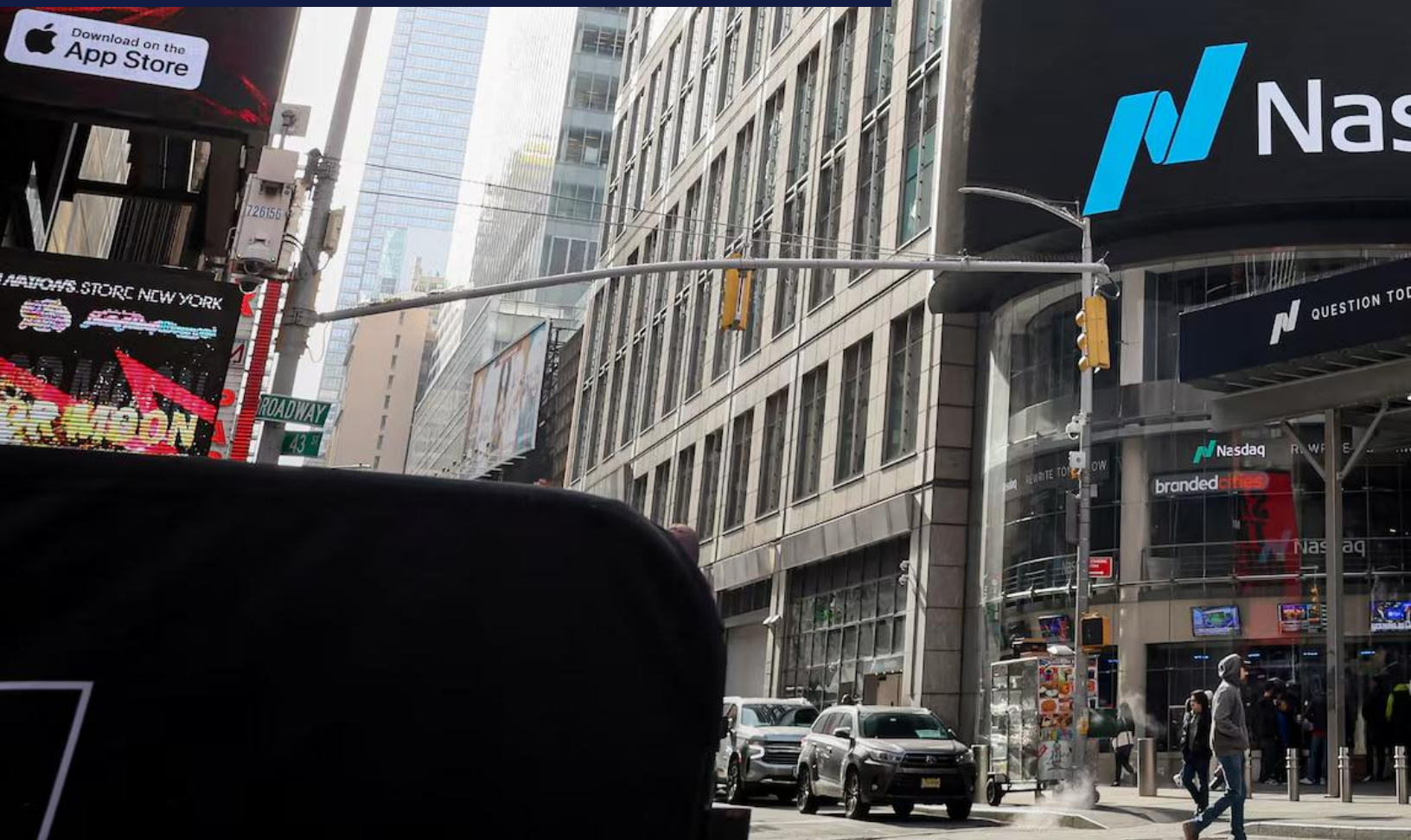
For OpenAI, a future IPO is increasingly plausible, with the company being privately structured in a capped profit model, with a large capital intensity, and enterprise revenue visibility. A public listing would not be seen as an average SaaS story, but instead as a platform with next-generation AI infrastructure combining subscriptions with high-performance compute scaling. Key catalysts for an IPO would be improved operating leverage on training, sustained enterprise contract growth, and governance stabilization. If public, OpenAI will be one of the largest publicly traded companies globally that is directly invested in the deployment of agentic AI.

OpenAI Revenue Composition





Comparable Company Analysis



PEER UNIVERSE

Logo	Company	Ticker	Description	Price as of 3/18/26 (USD)
	Salesforce	CRM	Salesforce is an American public cloud-based software company based in San Francisco, California. It was founded in 1999 with the goal of helping companies manage sales, marketing, customer service, and data analytics. Today, it offers a wide array of tools such as its Sales Cloud, Service Cloud, and Marketing Cloud. At its core, Salesforce seeks to help companies improve customer engagement and streamline operational efficiently.	\$181.18
	ServiceNow	NOW	ServiceNow is a cloud-based software company that provides a digital workflow platform to help organizations manage business processes. The company is most widely known for its IT service management workflows, as well as its for employee and security operation workflows. Its revenue is primarily based on its cloud platform and subscription-based software modules. Its customers are mostly large enterprises and government organizations.	\$113.27
	Snowflake	SNOW	Snowflake provides a cloud-based data platform that allows companies to store and analyze large amounts of data. It is built specifically to help with data engineering, sharing, and machine learning across multiple cloud provides like AWS, Azure, and Google Cloud. Its customers include data driven firms in the finance and technology space, and its revenue is generated primarily off usage fees on computing power and storage consumption.	\$159.42
	Microsoft	MSFT	Microsoft is one of the world's largest technology companies. It offers a range of workflows from software to hardware to cloud services. Its main businesses include the Windows operating system, LinkedIn, and Xbox gaming console. Many organizations rely on Microsoft tools for communication, data storage, and software. As a result, its customer base includes corporations, individuals, developers, and governments all around the world.	\$370.82
	C3.ai	AI	C3.ai creates software that helps organizations build and deploy AI systems, specifically using its machine learning technology to analyze data and improve operational decisions. Revenue comes mainly from subscriptions to its enterprise AI software products. Its customers are typically larger corporations (in energy, manufacturing, and defense) and government agencies looking to apply AI to solve complex business problems.	\$8.61
	Workday	WDAY	Workday develops cloud software that helps organizations manage employees and financial operations. Its systems are most often used by HR and finance systems to track payroll, hiring, and financial reporting. It also provides customer support solutions to help customers (organizations that want a more modern alternative to older management systems) set up the software. The company earns its revenue from subscription fees for its enterprise software.	\$133.38

These companies are all leaders in the agentic AI and cloud infrastructure spaces. Together, they define the modern enterprise system. While their main function is operating within the AI-enabled workflow ecosystem, the companies also operate within adjacent segments of the enterprise technology stack (helping organizations manage data, automate workflows, engage customers, and deploy AI solutions at scale). Because of their many similarities, from all being subscription-based SaaS business models to having strong operating leverage, comparing them helps establish valuation benchmarks and growth expectations. These companies represent some of the strongest players in the AI-enabled space. Although each company serves a slightly different niche, they are united by their recurring revenue business model, large enterprise customer base, and strategic importance in the modern software world.

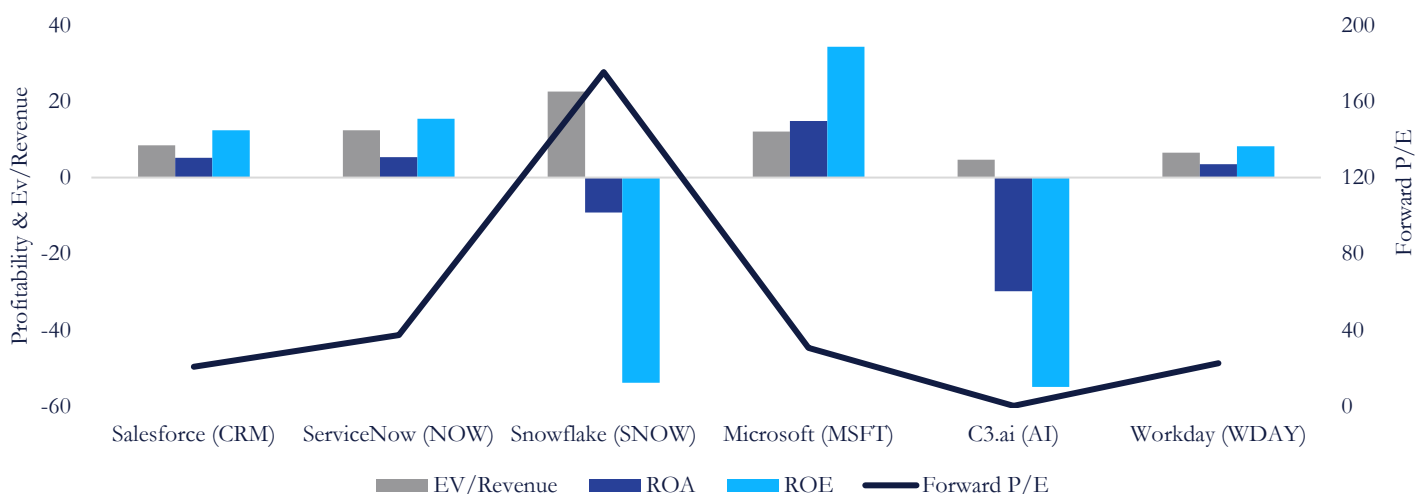
PEER UNIVERSE OVERVIEW

\$ in millions of USD (As of Q1 2026)

Company	Mkt. Cap	Enterprise Value	Share Price	EV/Revenue	EV/EBITDA	Forward P/E	PEG	ROA	ROE
Salesforce (CRM)	182,631	321,048	264.91	8.48x	22.4x	20.53x	1.23	5.18%	12.40%
ServiceNow (NOW)	121,970	157,420	153.19	12.43x	54.55x	37.17x	1.39	5.39%	15.49%
Snowflake (SNOW)	59,990	93,130	219.36	22.63x	--	175.44x	2.52	-9.16%	-53.91%
Microsoft (MSFT)	3,500,000	3,550,000	482.10	12.09x	20.89x	30.40x	1.98	14.86%	34.39%
C3.ai (AI)	1,260	1,760	13.48	4.72x	--	-8.70x	0.00	-29.88%	-55.01%
Workday (WDAY)	36,620	58,930	214.78	6.58x	48.90x	22.42x	0.76	3.55%	8.23%
Lower	1,260	1,760	13.48	4.72x	20.89x	-8.70x	0.00	-29.88%	-55.01%
Mean	650,412	697,048	226.64	11.16x	36.69x	46.21x	1.31	-1.68%	-6.40%
Median	90,890	125,275	217.07	10.29x	35.65x	26.41x	1.31	4.37%	10.32%
Upper	3,500,000	3,550,000	482.10	22.63x	54.55x	175.44x	2.52	14.86%	34.39%

Across the peer set for the agentic artificial intelligence market, there are differences in expectations for growth, scale, and profitability. The group has a mean EV/Revenue multiple of 11.16x and a median of 10.29x; the broader public SaaS industry has revenue multiples closest to ~6x, depending on growth and profitability. ServiceNow (NOW) and Snowflake (SNOW) are both hyper-growth software leaders with premium valuations, whereas more mature companies such as Salesforce (CRM) trade closer to the mean. There is a large difference in profitability; the EV/EBITDA has a large dispersion and ranges from a high multiple of 54.55x from ServiceNow (NOW) to a low multiple of 20.89x from Microsoft (MSFT) due to prioritization of short-term profitability, as well as large R&D expenses to maintain a competitive edge in the AI market. Valuation gaps are also driven by sheer scale. Microsoft's massive \$3.5 trillion market cap, matched with strong profitability (ROE: 34.39%), establishes the ceiling for profitability metrics, while on the other hand, smaller firms focused solely on AI, like C3.ai (AI) have significantly lower returns (ROE: -55.01%). The spread between the upper bound of 22.63x and the lower bound of 4.72x for the EV/Revenue multiples emphasizes the split in the software sector, with hyper-growth cloud and AI leaders having high valuation premiums while small or low profitability companies trade at significantly lower multiples.

Peer Profitability and Valuation Comparison



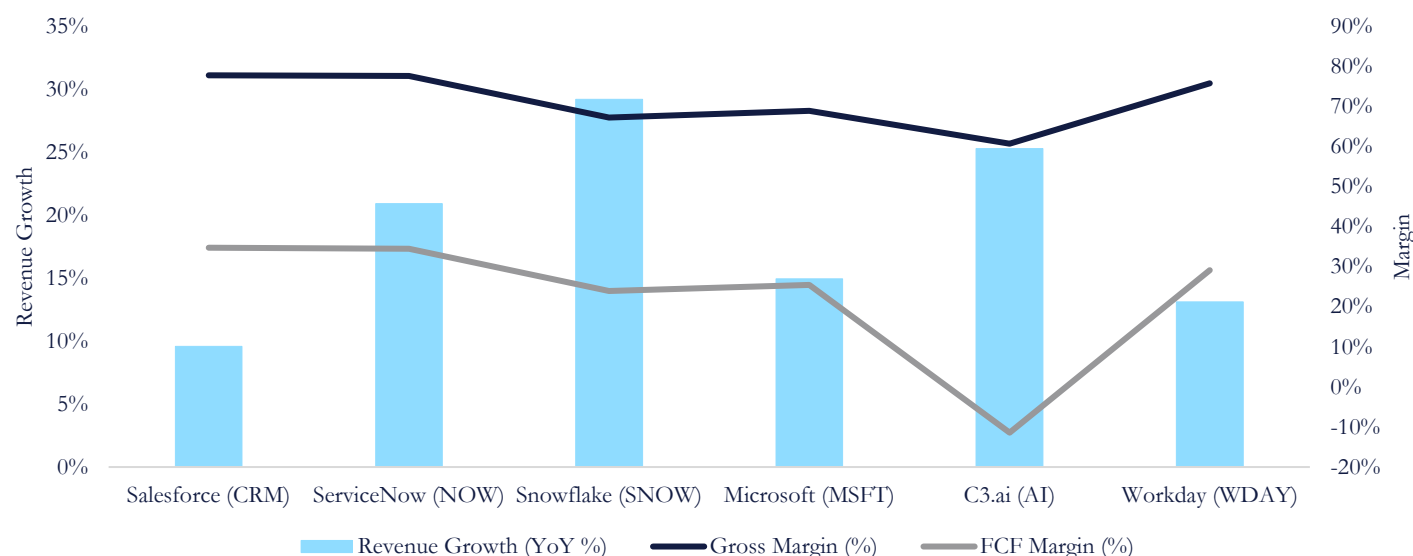
COMPARABLE: BASIC

\$ in millions of USD (As of Q1 2026)

Company	Revenue Growth (YoY %)	Gross Margin (%)	R&D / Revenue (%)	FCF Margin (%)	CapEx / Revenue (%)
Salesforce (CRM)	9.58%	77.68%	14.43%	34.68%	1.43%
ServiceNow (NOW)	20.88%	77.53%	22.29%	34.46%	6.54%
Snowflake (SNOW)	29.16%	67.17%	42.05%	23.92%	2.17%
Microsoft (MSFT)	14.93%	68.82%	11.03%	25.42%	22.91%
C3.ai (AI)	25.27%	60.62%	78.15%	-11.42%	0.78%
Workday (WDAY)	13.09%	75.70%	28.05%	29.07%	1.70%
Lower	9.58%	60.62%	11.03%	-11.42%	0.78%
Mean	18.82%	71.25%	32.67%	22.69%	5.92%
Median	17.91%	72.26%	25.17%	27.25%	1.93%
Upper	29.16%	77.68%	78.15%	34.68%	22.91%

When looking at a few key metrics, it becomes apparent that sustainable free cash flow generation is becoming the primary differentiator in the selected group of maturing AI firms, replacing the popular headline growth. On one end, the two fastest growers, Snowflake and C3.ai, with revenue growth rates of 29% and 25% respectively, are paired with the weakest profitability. Both of their gross margins are well below the median of the group, with C3.ai being the only peer burning cash with a FCF margin of -11.42%. On the other hand, ServiceNow and Salesforce exhibit slower growth, but generate the highest FCF margins at 34% each. C3.ai and Microsoft are very interesting outliers in their own ways. C3 has a R&D/Revenue margin of 78%, nearly 3x the median of 25%, this hyper spending on platform development combined with negative cash-flow creates a high-risk situation that investors are skeptical of. Microsoft's 23% CapEx/Revenue is also very notable, trumping the median of just 1.93%. This isn't surprising as Microsoft continues to drive massive investments in AI infrastructure, data centers, and cloud growth. They are by far the most attractive peer, exhibiting high growth, margins, and overall expansion.

Revenue Growth vs. Margin Profile



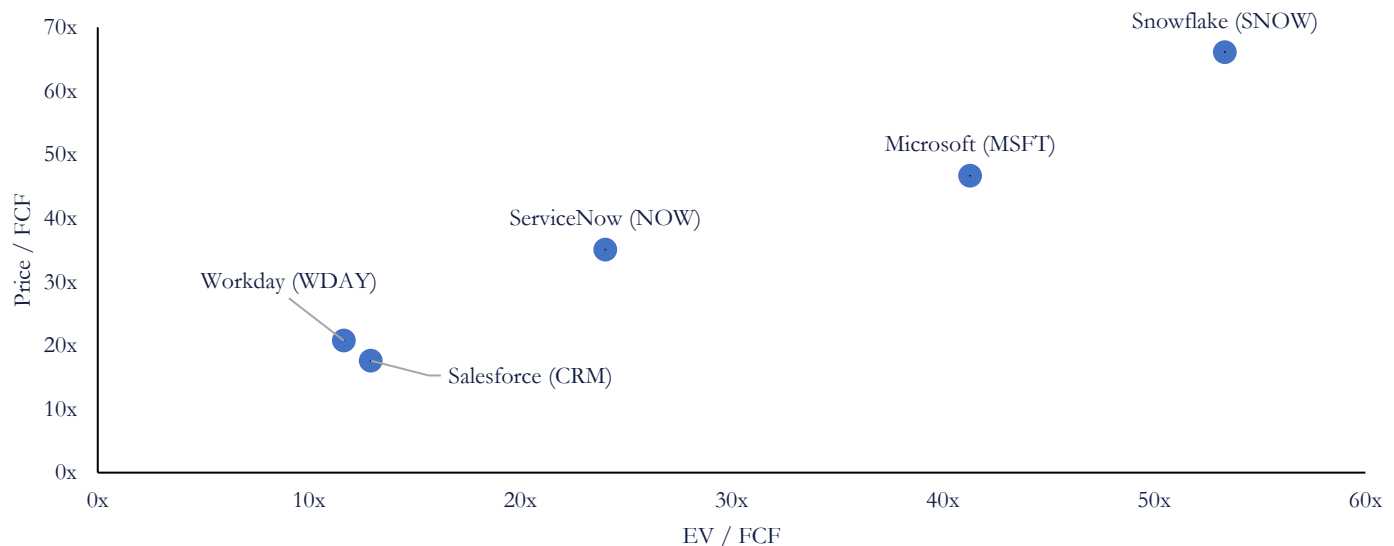
COMPARABLE: VALUATION

\$ in millions of USD (As of Q1 2026)

Company	Market Cap (\$B)	EV (\$B)	Diluted EPS (TTM)	EV/FCF	EV/EBITDA	Trailing P/E	Price / FCF	PX/Sales (TTM)
Salesforce (CRM)	182,631	321,048	8.75	12.94x	14.82x	22.64x	17.58x	4.43x
ServiceNow (NOW)	121,970	157,420	1.87	24.04x	40.63x	59.92x	35.04x	8.90x
Snowflake (SNOW)	59990	93,130	-3.52	53.36x	--	--	66.08x	12.95x
Microsoft (MSFT)	3,500,000	3,550,000	15.00	41.29x	17.59x	26.69x	46.62x	9.77x
C3.ai (AI)	1260	1760	-3.15	--	--	--	--	4.19x
Workday (WDAY)	36,620	58,930	3.75	11.65x	26.33x	35.38x	20.74x	3.61x
Lower	1,260	1,760	-3.52	11.65x	14.82x	22.64x	17.58x	3.61x
Mean	650,412	697,048	3.78	28.66x	24.84x	36.16x	37.21x	7.31x
Median	90,980	125,275	2.81	24.04x	21.96x	31.04x	35.04x	6.66x
Upper	3,500,000	3,550,000	15.00	53.36x	40.63x	59.92x	66.08x	12.95x

The growth potential the AI industry is notorious for, is well reflected in valuation metrics such as price-to-earnings (P/E) ratios, price-to-sales ratios, and multiples based on enterprise value. Snowflake's valuation is very interesting as they have at the highest EV/FCF, Price/FCF and Price/Sales of the whole group, painting the picture that investors are paying a large premium to trade the high growth company despite it's negative EPS and overall lack of profitability. Microsoft is second to Snowflake in these ratios, with EV/FCF and Price/FCF of 41 and 46 respectively. Unlike Snowflake, Microsoft is a very mature and profitable firm with diluted EPS of \$15.00 and a trailing P/E of 26.69, well above the median of the group. The EV/EBITDA and trailing P/E for both Workday and ServiceNow are well above the median for the group representing strong investor confidence in profitability expansion and sustained demand within the AI industry for both of these companies. Finally, C3.ai, the smallest peer by far with a market cap of \$1.3 billion, has negative metrics across the board as they struggle to become profitable in part to their extremely high operating costs and lack of revenue streams to outweigh costs.

Cash Flow Valuation (EV/FCF vs. Price/FCF)



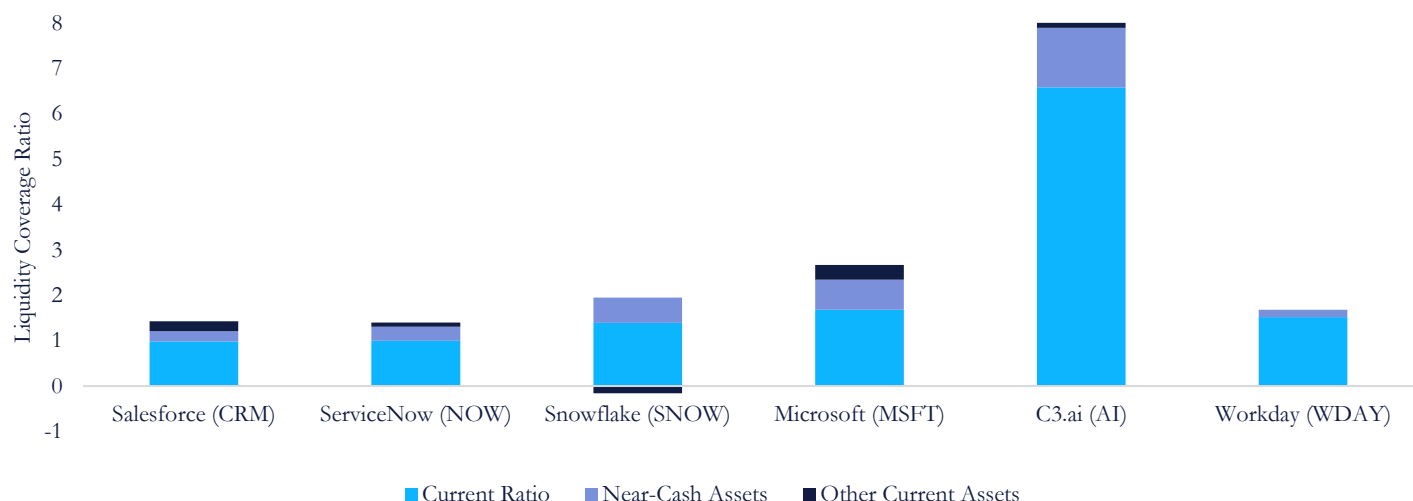
COMPARABLE: LIQUIDITY

\$ in millions of USD (As of Q1 2026)

Company	Mkt. Cap	Enterprise Value	Share Price	TTM /		TEV /		EPS	P/E
				Revenue	EBITDA	Revenue	EBITDA		
Salesforce (CRM)	82,845.5	113,854.5	52.4	90,093.00	11,369.00	1.26	10.01	18.07	19.46
ServiceNow (NOW)	82,702.5	105,433.5	97.4	88,661.00	12,212.00	1.19	8.63	6.56	14.82
Snowflake (SNOW)	57,418.4	83,709.2	51.5	97,960.50	9,056.00	0.85	9.24	3.07	16.02
Microsoft (MSFT)	60,162.6	73,282.3	253.3	38,883.10	3,391.20	1.88	21.61	34.30	47.59
C3.ai (AI)	38,025.2	38,046.5	182.4	5,496.40	1,725.70	6.92	22.05	4.84	37.35
Workday (WDAY)	20,222.5	21,457.0	170.5	16,232.80	875.00	1.32	24.52	4.83	35.30
Lower	29,123.9	29,751.8	133.9	14,115.95	1,652.80	1.23	9.63	4.84	17.74
Mean	51,508.0	65,237.9	187.2	49,903.70	5,744.11	2.17	15.61	11.11	29.10
Median	57,418.4	73,282.3	182.4	38,883.10	3,391.20	1.32	13.22	6.12	33.13
Upper	82,702.5	105,433.5	253.3	90,093.00	11,369.00	1.88	22.05	18.07	37.35

The liquidity and leverage metrics show that the comparable set has financial statements that are generally strong, but come with a lot of volatility, due to company size and capital structure. The mean current and quick ratios for the peer group are 2.19 and 2.09, showing that, on average, the companies in the group have liquid assets that are more than twice the required amount to cover their current liabilities, which is higher than the average range for the software companies, where current ratios of 1.5-2.0 are considered healthy. However, the median current and quick ratios for the group are 1.46 and 1.44, which means that the mean has been anchored by a small number of companies, such as C3.ai, with extremely high current and quick ratios, due to the company having large cash balances relative to debt. The wide range is largely due to the large differences in company size, with hyperscale software businesses such as Microsoft on one end, and the smaller AI software companies at the other, like C3.ai. The debt-to-equity ratios for the group are also low, with a mean of 0.15 and a median of 0.11, which is below the typical range for technology, which is 0.48. This again suggests that the SaaS industry leaders have strong liquidity and low leverage, but financially, they can be drastically different, depending on whether you are looking at the large, cash-generating software businesses or the smaller, AI software companies, with larger cash reserves.

Liquidity Structure Comparison across Comparables



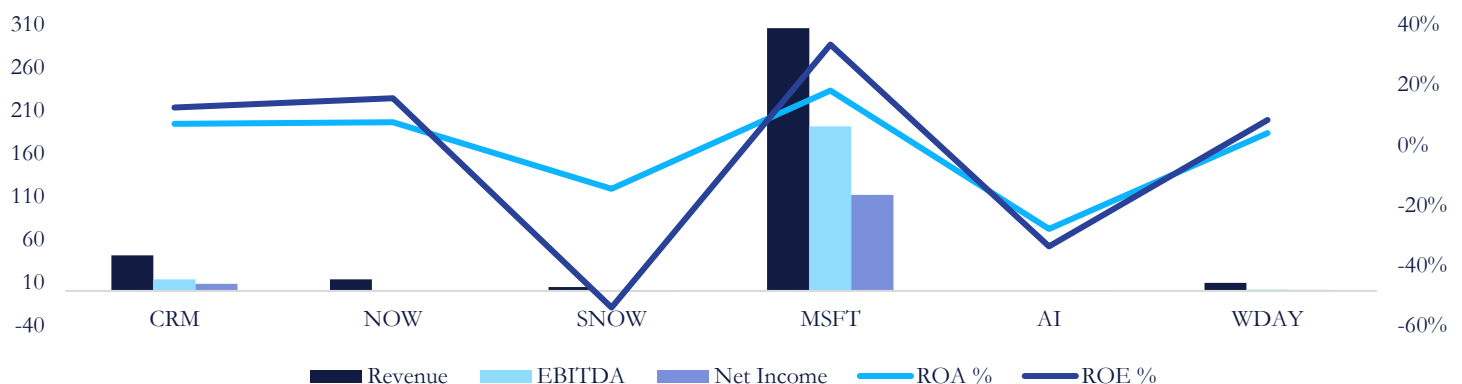
COMPARABLE: PROFITABILITY

\$ in millions of USD (As of Q1 2026)

Ticker	Revenue (\$B)	EBITDA (\$B)	Net Income (\$B)	Total Assets (\$B)	Total Equity (\$B)	EBITDA/Revenue (%)	ROA (%)	ROE (%)	1 Year (%)	3 Year (%)
CRM	41.52	13.31	8.36	112.31	59.14	32.06	6.93	12.40	-30.00	11.12
NOW	13.28	0.29	0.19	26.04	12.96	2.18	7.53	15.49	-29.16	38.02
SNOW	4.68	-1.05	-1.18	9.13	1.92	--	-14.66	-54.09	19.03	29.54
MSFT	305.45	191.23	111.89	619.00	343.48	62.61	18.00	33.28	7.24	63.23
AI	0.389	-0.452	-0.434	1.03	0.84	--	-27.97	-33.73	-56.14	-57.84
WDAY	9.55	1.71	1.01	18.07	7.81	17.91	3.84	8.23	-43.38	-24.12
Lower	0.389	-1.05	-1.18	1.03	0.84	2.18	-27.97	-54.09	-56.14	-57.84
Mean	11.42	1.00	0.60	22.06	10.39	24.99	5.39	10.32	-29.58	20.33
Median	62.48	34.17	19.97	130.93	71.03	28.69	-1.06	-3.07	-22.07	9.99
Upper	305.45	191.23	111.89	619.00	343.48	62.61	18.00	33.28	19.03	63.23

The comparable profitability table emphasizes the wide dispersion we see in economic maturity. The most striking observation is that Microsoft operates as a clear outlier not only in scale but also in operating efficiency. With revenue exceeding \$300 billion and an EBITDA margin above 60%, Microsoft's profitability profile is drastically higher than the rest of the peer set (whose median EBITDA sits around mid-20%). This reflects the structural advantages of the Microsoft platform model, with products like Azure, Office, and Windows benefitting from extreme operating leverage. From a valuation perspective, this might suggest that Microsoft should not be directly benchmarked against smaller SaaS companies but, instead, be treated as more of a mature infrastructure platform. Another clear theme in the table is the distinction between mature software companies and those still in the investment phase. For example, Snowflake and C3.ai have negative profitability metrics. That said, the market performance diverges significantly between these two firms, suggesting that investors are making forward-looking judgements about which companies will eventually convert growth into sustainable margins. Taken together, these performance metrics reinforce a broader shift occurring in technology markets. The median one-year return is negative, implying that investors have recently repriced the sector and are placing more emphasis on profitability rather than growth alone. As a result, companies with strong margins, such as Microsoft and Salesforce, seem to have become more resilient, while firms with uncertain profitability timeliness face greater valuation pressure.

Profitability Across Comps (\$B)





Initiating Coverage: ServiceNow



ServiceNow Inc (NOW)



ServiceNow is an American software company that provides a cloud-based platform designed to automate and streamline digital workflows. By consolidating systems and departments, the platform helps companies replace manual processes with efficient, AI-driven automation.

Differentiation and Strategy

ServiceNow’s core strategy centers on its "Now Platform," which functions as a central system for enterprise operations by connecting digital processes into one manageable environment. They differentiate themselves through a scalable, AI-based architecture that allows businesses to automate complex workflows across departments without needing to overhaul existing legacy infrastructure. Beyond simple connectivity, this platform serves as a layer that sits above an organization’s existing technology stack, such as ERP or CRM systems, to govern interactions between tools. By utilizing a single, unified data model, the company enables deep visibility and consistent logic across the entire enterprise which prevents operational breakdowns. ServiceNow prioritizes expanding on existing infrastructure in individual companies to maintain organic growth.

Financial Performance

ServiceNow has maintained impressive financial momentum, recently reporting a 21% year-over-year growth in subscription revenues for 2025, reaching over \$12.8 billion for the full year. This growth is driven by their predictable, recurring subscription-based business model, which provides high visibility into future earnings and long-term stability. Profitability has also expanded with the company consistently improving its operating and free cash flow margins. Looking ahead to 2026, ServiceNow projects continued growth, targeting subscription revenue increases in the 20% range while doubling down on high-growth AI products like "Now Assist" and capturing new markets.

Recent Acquisitions

ServiceNow has executed an aggressive acquisition strategy throughout 2025 and into 2026, focused on scaling its agentic AI capabilities and its position in the cybersecurity and data intelligence markets. Key acquisitions include Armis, Moveworks, and Veza. These firms specialize in AI-related cybersecurity and automated conversational chat bots primarily used for IT, HR, and data science.

Outlook

For 2026, ServiceNow’s outlook is incredibly optimistic, positioning the firm for a standout year of growth and market leadership. Financially, the company has forecast subscription revenue between \$15.53 billion and \$15.57 billion, nearly 20% year-over-year growth. Management has backed this with a new \$5 billion share repurchase program to demonstrate commitment to shareholder value. The company is now shifting energy toward maximizing internal efficiency and delivering value to its expanding global customer base.

Stock Rating	Buy
BBR Price Target	\$161.33
Price (3/19/26)	\$113.27
Ticker	NOW
Exchange	NYSE

52 Week Range

\$98.00 – \$211.48



Research Team

- Nicholas Berg
- Rebekah Campus-Hartman
- Sahil Shah
- Mia Patel
- Eric Bullard

Multiples

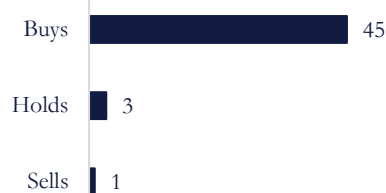
	NOW	Peers
Rev. Growth	8.72%	19.26%
EBIT Margin	12.22%	-8.16%
PE Growth	1.58x	1.22x

Stock Information

Market Cap (B)	\$118.94
Shares Outs. (mm)	1,050
Free Float (%)	99.05%
Beta	1.02

ALTERNATIVE VALUATIONS

Consensus Rating



12M Price Target: \$161.33

Price Analysis (3Y, USD)



Firm	Analyst	Date	Analyst Rating	Price Target
 BBR	Technology Team	3/30/26	Buy	\$161.33
 CANTOR Fitzgerald	Thomas Blakey	3/08/26	Overweight	\$200.0
 Jefferies	Samad Samana	3/08/26	Buy	\$175.0
 citi	Tyler Radke	3/05/26	Buy	\$237.0
 RBC Capital Markets	Matthew Hedberg	2/09/26	Outperform	\$150.0
 Deutsche Bank	Brad A Zelnick	1/29/26	Buy	\$180.0
 WELLS FARGO	Michael Turrin	1/29/26	Overweight	\$225.0
 STIFEL	Brad R Reback	1/28/26	Buy	\$180.0
 PIPER SANDLER	Rob D Owens	1/28/26	Overweight	\$200.0

Select Commentary

Deutsche Bank

Price Target: \$180.00

Rating: Buy

- The company's September 2025 GSA OneGov deal was described as being struck with very advantageous levels of discounting for ServiceNow
- ServiceNow's significant contract with the Air Force was a consolidation of "55 or more" separately procured contracts and was a strategic win for the company as it now need only maintain a single contract rather than dozens which are competed with and negotiated individually
- All in, both partners sounded positive about the significant LT opportunity from large migrations of legacy systems

Research Team

Brad Zelnick

Bhavin Shah, CFA



The background of the slide is a blurred image. At the top, there is a horizontal rainbow. Below it, a black diagonal line runs from the left towards the right. In the lower right, the Workday logo is visible, consisting of an orange arc above the word "workday" in blue lowercase letters.

BBR

BULL & BEAR
RESEARCH

Initiating Coverage: Workday

Workday Inc (WDAY)



Workday is a leading enterprise cloud platform that unites human capital management and financial management applications into one AI-driven system. The firm serves over 11,500 customers globally, including more than 65% of the Fortune 500. Workday generates most of its revenue through a high-margin recurring subscription-based model that is tailored to the needs of its users.

Differentiation and Strategy

Workday's differentiation is rooted in its architecture. A unified cloud data model that integrates finance and HR into a single system of record provides real-time visibility that other competitors like SAP and Oracle often struggle to match. Strategically, the company has pivoted from a traditional SaaS model to an "AI-First" platform, centered on its "Workday Illuminate" and Sana frameworks. By utilizing autonomous AI agents and a conversational interface, Workday aims to move beyond a passive system of record to a new system of action that automates high-value workflows and operational tasks.

Financial Performance

Workday demonstrated consistent top-line momentum and significant margin growth throughout 2025, reporting total revenue of \$8.45 billion and 16.4% YoY growth. Its subscription revenue of \$7.72 billion was its primary source of income in 2025 and is expected to continue to lead growth throughout 2026. This strong foundation allowed the company to exceed profitability targets, ending the period with a non-GAAP operating margin of 25.9% and generating \$2.19 billion in free cash flow. Results were driven by a high gross revenue retention rate of 97% and a subscription backlog that grew 20% to reach \$25.06 billion. The company also achieved an efficiency milestone by expanding its non-GAAP operating margin to 29.6% and increasing free cash flow by 26%.

Recent Acquisitions

Workday's M&A strategy has focused on transforming to their "AI-First" platform, highlighted by its \$1.1 billion acquisition of Sana in late 2025. This deal provides the natural language agents the firm needs to communicate between departments. Additionally, the company also acquired Paradox (\$1B) to automate high-volume frontline hiring which provides over 3,000 connectors that allow Workday's AI agents to take actions in third-party apps like Slack.

Outlook

Moving forward, Workday's success depends on its ability to leverage its 97% retention rate and massive data set to transition from a strategic database into the best AI-decision maker. The firm looks to capture a larger share of the \$160 billion addressable market through deploying these AI-agents to create the best automation product for business workflows. If the company can shift towards a value-based consumption model, Workday will be able to increase revenue by monetizing its operational outcomes as opposed to subscriptions.

Stock Rating	Buy
BBR Price Target	\$152.03
Price (3/19/26)	\$133.38
Ticker	WDAY
Exchange	NYSE

52 Week Range \$117.76 – \$276.00



Research Team

Nicholas Berg
Rebekah Campus-Hartman
Sahil Shah
Mia Patel
Eric Bullard

Multiples

	WDAY	Peers
Rev. Growth	16.35%	19.26%
EBIT Margin	4.76%	-8.16%
PE Growth	0.15x	1.22x

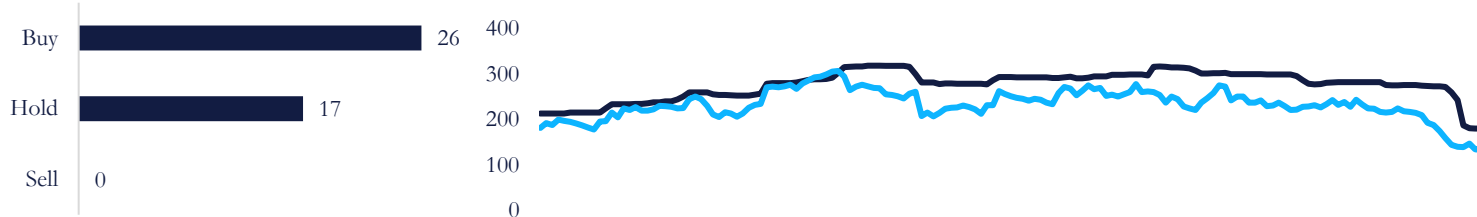
Stock Information

Market Cap (B)	\$64.28
Shares Outs. (mm)	260
Free Float (%)	80.05%
Beta	1.17

ALTERNATIVE VALUATIONS

Consensus Rating

Price Analysis (3Y, USD)



12M Price Target: \$152.03

— Average Target Price — Price

Firm	Analyst	Date	Analyst Rating	Price Target
 BBR	Technology Team	3/30/26	Buy	\$152.03
 Citi	Steven Enders	3/10/26	Neutral	\$148.0
Morgan Stanley	Keith Eric Weiss	3/6/26	Neutral	\$185.0
 MIZUHO	Sitikantha Panigrahi	3/3/26	Outperform	\$210.0
 Deutsche Bank	Brad Zelnick	2/25/26	Buy	\$180.0
J.P.Morgan	Mark R Murphy	2/25/26	Overweight	\$190.0
 BARCLAYS	Raimo Lenschow	2/25/26	Overweight	\$200.0
 Goldman Sachs	Gabriela Borges	2/24/26	Neutral	\$206.0
WELLS FARGO	Michael Turrin	2/24/26	Overweight	\$180.0

Select Commentary

Deutsche Bank

Price Target: \$180.0

Rating: Buy

- Deutsche sites diminishing investor appetite for software and non-GAAP operating margins only modestly expanding with prioritized investment in agentic AI as a headwind on near term shares performance
- Workday is investing in an AI-first future at the cost of near-term margin expansion, which while the right trade-off for long-term growth, investors will likely wait for execution to appear in results before rewarding shares
- Workday generated >\$100 million in NNACV from emerging AI products in Q4 2026, with total ARR surpassing \$400 million. 400+ agentic early access customers have increased employee productivity by 20% with Workday's self-service agent

Research Team

Brad Zelnick

Bhavin Chah



Deutsche Bank

BBR

BULL & BEAR
RESEARCH

Initiating Coverage: C3.ai

C3 AI Inventory Optimization
C3 AI Supply Network Risk
C3 AI Sourcing Optimization

Reliability
Process Optimization
Energy Management

Enterprise AI.

 C3.ai

 C3.ai

C3.ai (AI)



C3.ai founded in 2009 by Thomas Siebel, is a leading enterprise AI software provider for accelerating digital transformation. The firm provides 40 turnkey applications that have been utilized in over 60 large-scale deployments, primarily within the manufacturing, defense, intelligence, and financial services sectors.

Differentiation and Strategy

Rather than building generic AI tools, C3.ai focuses on building domain-specific ones. The company combines generative AI with secure agent workflows for mission-critical environments (military & defense). C3.ai has 131 pre-build enterprise AI applications, allowing them to not only accelerate deployment times but also reduce the customization time per client. Through its Strategic Integrator Program, C3.ai sells its platform to system integrators and defense contractors (of which are increasingly federal defense and aerospace companies like the U.S. Army or Nucor) who in turn use the AI to create tailored solutions. Because of this licensing, pre-built model, C3.ai can expand its customer base without having to invest more in salesforce (meaning relatively lower capEx spending, especially when we consider peers relying on internal sales teams).

Financial Performance

C3.ai’s financial performance in 2025 was disappointing as sales dropped amid execution headwinds. Subscription revenue for fiscal 3Q 2026 (1/31/26) fell 43.8% year over year and gross margin was 37% compared to 69% a year prior. They also experienced increased operating losses of \$63.4 million, up from \$23.1 million in losses in 3Q 2025. The consensus revenue estimate for FY 2026 is \$249 million, 36% lower than the firm’s actual revenue of \$389.07 million in FY 2025. Analysts are reinforcing their cautious stance on the firm’s ability to gain market share amid intensifying AI competition.

Top Product

One of C3.ai best known products is their Cash Management System. It’s an AI-powered solution designed for payments and banking teams (in retail banking and private wealth management) to better understand its customers via attrition prediction or anomaly detection. For mangers, the system helps personalize outreach using these insights and for strategies, the system allows for pricing optimization and identification of at-risk customers.

Outlook

C3.ai’s growth outlook faces execution setbacks, intensifying AI competition, and customer-side tool consolidation, which analysts believe will continue to weigh on results. Competitors such as Palantir, Salesforce, and ServiceNow are pressuring C3.ai’s product investments and might force additional offerings that could delay margin expansion. This coupled with limited scale may leave the firm struggling to capitalize on strategic alternatives as their financial performances continue to disappoint investors.

Sources: Bloomberg, Yahoo Finance

Stock Rating	Hold
BBR Price Target	\$9.00
Price (3/18/26)	\$8.61
Ticker	AI
Exchange	NYSE

52 Week Range \$7.95 – \$29.16



Research Team

Nicholas Berg
 Rebekah Campus-Hartman
 Sahil Shah
 Mia Patel
 Eric Bullard

Multiples

	AI	Peers
Rev. Growth	25.27%	17.88%
EBIT Margin	60.62%	20.05%
Cash Ratio	5.63x	0.66x

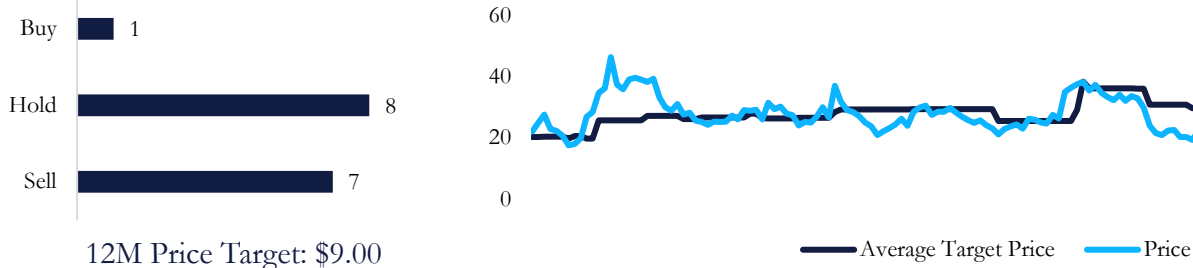
Stock Information

Market Cap (B)	\$1.23
Shares Outs. (mm)	144.2
Free Float (%)	93.14%
Beta	1.64

ALTERNATIVE VALUATIONS

Consensus Rating

Price Analysis (3Y, USD)



Firm	Analyst	Date	Analyst Rating	Price Target
BBR	Technology Team	3/30/26	Hold	\$9.0
J.P.Morgan	Brian Essex	2/26/26	Underweight	\$7.0
NORTHLAND SECURITIES	Michael James Latimore	2/26/26	Neutral	\$10.0
WEDBUSH	Daniel Ives	2/26/26	Outperform	\$15.0
D A DAVIDSON	Lucky Schreiner	2/25/26	Underperform	\$7.0
WOLF RESEARCH	Arsenije Matovic	2/26/26	Underperform	\$6.0
UBS	Radi Sultan	2/25/26	Neutral	\$9.0
cg/Canaccord Genuity	Kingsley Crane	2/25/26	Neutral	\$7.0
KeyBanc Capital Markets	Eric Heath	2/25/26	Underweight	\$6.0

Select Commentary

J.P. Morgan

Price Target: \$7.00

Rating: **Underweight**

- Execution breakdown drove a significant earnings miss despite strong demand, with revenue down 46% YoY and 26% below guidance, as sales inefficiencies in North America and Europe, not end market weakness, pressured results
- The demand for enterprise AI is strong, especially in federal and defense (+134% YoY which is 55% of total), but margin compression, (37% vs. 69%) and continued cash burn highlight a weak operating leverage within the company
- Restructuring and lowered guidance reinforce downside risk with, \$50M revenue guide cut and 26% workforce reduction, while J.P. Morgan maintains Underweight due to execution risk, limited visibility, and an extended path to profitability

Research Team

Brian Essex

Alex Issac

John Lee

J.P.Morgan



Closing Remarks

FUTURE AMIDST VOLATILITY

Intelligence Arbitrage

Labor economics is being reshaped by agentic AI due to enterprises moving from human-based workflows towards decision-making systems that are autonomous and able to independently complete complex tasks. Current work activities contain a significant number of tasks that can easily be automated, according to McKinsey & Company, 60-70% of these activities can be automated. Likewise, Goldman Sachs approximated that globally, 300 million full-time jobs could be changed due to AI-driven automation. This essentially represents the idea that Artificial Intelligence-based automation won't just be used in day-to-day labor but also in high-value, complex tasks. In the past, there have been automation models like RPA or SaaS, but these models were only capable of performing little tasks. Agentic systems can execute multi-step workflows from start to finish, all while providing reasoning, meaning that the chances of replacing entire functions are highly possible rather than just automating single tasks. Sectors like customer support and software development, for example, have already seen 30% reductions in operating costs, all while improving accuracy and scaling.

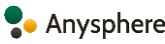
Asymmetric Return Profile

The convex return characteristics of agentic AI are powerful, particularly during periods of economic uncertainty. During downturns like, the 2008 Financial Crisis with widespread cloud adoption, as well as post 2022, when there was rapid generative AI deployment due to the interest rates increasing significantly. Agentic AI is different from any other traditional software due to it being able to deliver both the defensive and offensive sides of value creation. Due to AI, on the defensive side, agents have reported that there are 20%-40% reductions in cost across entire operations. On the offensive side, automation and decision-making can drive a 10%+ uplift in revenue through quicker execution and customer service.

	Equilibrium Market	Labor/Margin Crisis	Efficiency Supercycle
Legacy SaaS	+12% to +18%	(40%) to (65%)	+5% (Lagging)
Agentic AI	+35% to +85%	+250% to +900%	+150% (Leading)

The Incoming 2030 “Autonomous Economy” Liquidity Supercycle

The emergence of an “autonomous economy” that is driven by agentic AI is catalyzing a new liquidity Supercycle, which will include scaling for revenue, which will be rapid growth, higher capital requirements, and the necessity for strategic consolidation. Leading AI-native platforms are targeting \$30+ billion in revenue in the long-term, which includes companies like Databricks, Anysphere, and Sierra AI. The platforms' current run-rates are well below those levels, which creates an extensive execution gap that is upwards of \$35+ billion. This shows that organic growth won't be enough to scale operations, hinting at the idea that the next decade will include heightened M&A activity, with acquisition budgets already reaching \$100+ billion/platform, based on the scale needed. Across private and public markets, agentic AI will not only serve as a driver for gains in productivity but also a catalyst for the incoming liquidity cycle, with early leaders creating value by consolidation and dominance in platforms.

Platform (Emerging Leaders)	2030 Revenue Target	Current Organic Rev. Run-Rate	Required Bolt-On Revenue	Estimated Acquisition Budget
Sierra AI 	\$25B	\$0.15B	\$24.85B	\$80B - \$120B
Anysphere 	\$30B	\$1B - \$2B	\$28B	\$90B - \$140B
Surge AI 	\$15B	\$1.2B	\$13.8B	\$40B - \$70B
Mistral AI 	\$20B	\$0.4B	\$19.6B	\$60B - \$100B
Databricks 	\$40B	\$4B - \$5B	\$35B	\$120B - \$180B

Sources: ARK, Bessemer, Databricks, Goldman Sachs, Harvard, McKinsey & Co., NVIDIA, Pitchbook, PwC, Yahoo Finance

FINAL COMMENTARY

Outlook

The 2026 Spring Technology Team strongly believes that agentic AI is at an inflection point, where rapid enterprise adoption and model capabilities are significantly improving to create long-term economic impact. While risks regarding regulation and reliability remain, the shift from simple interactions to goal-oriented workflows reveals that integration across core business functions will accelerate. As these agents move into live corporate environments, the primary challenge becomes the seamless connection of multi-agent systems navigating legacy software and proprietary data. The market is currently hyper-fixated on foundational models, but we believe the true alpha lies within the execution framework that automates everyday workflows. The primary driver of value will be the transition from models that merely suggest work to those that perform it by engineering raw data into actionable outcomes. Each actionable outcome will be quantified by dollars reduced in both fixed and variable costs. The organizations prioritizing this will see compounding productivity gains, making agentic AI the definitive operating model for the next era of digital business and providing immense competitive advantages across the global economy.

Energy Demand

The trajectory of Agentic AI will be defined by its capacity for autonomous reasoning and persistent task execution. However, the true ceiling for these autonomous systems is no longer just algorithmic complexity, but the sheer availability of power. Because agentic workflows require continuous, multi-step "thinking" cycles rather than one-off responses, they exert a sustained pressure on GPUs that exceeds traditional model inference. The scalability of the agentic revolution is now directly linked to a power-centric development model, where the success of an agent is measured by the ability to construct and operate data centers at a sustainable marginal energy cost. To overcome this bottleneck, the industry must pivot toward infrastructure that treats energy as a primary design constraint rather than a secondary utility. We are seeing a move away from centralized, grid-dependent hubs toward specialized facilities that have on-site renewable generation to ensure adequate energy supplies. This shift suggests that the geographical and economic map of AI will be redrawn around energy-rich nations capable of supporting high-density cooling and massive electrical needs. The future of Agentic AI is literally a matter of power.



Meet the Team



Nicholas Berg is a third-year pursuing a combined degree in Economics and Business Administration with a concentration in Finance. He brings experience from his previous roles as a Client Associate at Merrill Lynch and a Fixed Income Sales Support Analyst at Jefferies.

Nicholas will be joining Wellington Management as a Fixed Income Trade Coordination Analyst during the upcoming Fall Co-op cycle. He will then continue his experience at Citi as a 2027 Sales & Trading Summer Analyst in New York City.



Rebekah Campus-Hartman is a second-year pursuing a combined degree in Finance and Political Science with a minor in Sustainable Business Practices. She brings experience from both her current role as an Investment Banking Analyst with Bowen Inc. and previous role as an Investment Banking Intern with Wellesley Hills Financial.

Rebekah will be joining Wells Fargo as a 2027 Investment Banking Summer Analyst in Public Finance. She is interested in pursuing careers in investment banking, equity research, or capital markets.



Sahil Shah is a first-year pursuing a degree in Business Administration with a concentration in Finance, and a minor in Design & Innovation Engineering. He brings experience from his previous role at NASA as a Systems Engineering Intern.

Sahil will be joining Gravitics Inc. as a Business Development & Finance Intern for the 2026 summer working firsthand in the emerging commercial space economy. He is interested in pursuing his first Co-op in Investment Banking in the upcoming Spring Co-op cycle.



Mia Patel is a second-year pursuing a combined degree in Politics, Philosophy, and Economics and Business Administration with a concentration in Finance. She brings experience from her previous role as an Advisory Services intern at Comprehensive Financial Services.

Mia will be joining Goldman Sachs as a 2027 Investment Banking Summer Analyst and Pharos as a TMT M&A co-op in the upcoming fall Co-op cycle.



Eric Bullard is a third-year pursuing an honors degree in Finance with a minor in Mathematics. He brings experience from his first Co-op in Actuary Consulting at Fidelity Investments, and summer 2025 internship at JPMorgan.

Eric will be returning to JPMorgan's Investment Bank as a Credit Risk Summer Analyst for summer 2026. He is currently recruiting and interested in pursuing his second Co-op in banking, credit, consulting, private markets, or related fields for the Fall 2026 cycle.